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Korea Economic Outlook

2025. 11

BANK OF KOREA

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Executive Summary

- **Korea's economy is expected to grow by 1.0% in 2025 and 1.8% in 2026, both higher than the previous forecast. Despite the headwinds from U.S. tariffs, the recovery in domestic demand and a robust semiconductor cycle since the second half of 2025 will likely support overall growth.**

- **CPI inflation is forecast at 2.1% in both 2025 and 2026, as the downward pressure from lower global oil prices is more than offset by the effects of the weaker Korean won and an easing of subdued domestic demand.**

(%, %p)	2024	2025e)1)	2026e)1)	2027e)
GDP growth rate	2.0	1.0(+0.1)	1.8(+0.2)	1.9
Headline inflation (%)	2.3	2.1(+0.1)	2.1(+0.2)	2.0
(Core inflation)	2.2	1.9(—)	2.0(+0.1)	2.0

Note: 1) ( ) indicates change from the August 2025 projection.

ECONOMIC CONDITIONS

☐ **The global economy is forecast to grow better than expected, supported by expansionary policy stances in major countries and robust global AI investment, while trade uncertainties have eased somewhat following progress in trade agreements between the U.S. and major economies.**

- The **United States** is expected to grow at around 2%, bolstered by expansionary monetary and fiscal policies and increased investment mainly in AI infrastructure, despite the slowdown in employment. The **euro area** is likely to continue its gradual improvement in growth, supported by eased financial conditions and fiscal expansion, including increased defense spending. Although **China**'s growth is expected to be stronger than anticipated as U.S.-China trade tensions ease, its underlying momentum is likely to weaken gradually due to the subdued recovery in domestic demand.

- Despite trade diversification efforts by major economies, growth in **global trade** is expected to slow, given the normalization of pre-tariff front-loading and the persistent effects of the tariff increases. In the **global semiconductor industry**, strong demand for both high-performance and general-purpose chips is likely to continue on the back of robust AI-related investment. The possibility of U.S. tariffs on IT devices and semiconductors, as well as concerns over potential overinvestment in AI, still represent risk factors.

- **Global oil prices** (Brent crude) are projected to decline for some time amid increased supply from major oil-producing countries and to rise moderately starting in the second half of 2026 as global oil demand picks up.

☐ **Domestic economic conditions are expected to remain favorable, supported by strong economic sentiment and fiscal expansion. However, housing prices and volatility in financial markets remain key risk factors.**

* Composite Consumer Sentiment Index: Jan. - Apr. 2025 avg. 93.4 → May 101.8 → Aug. 111.4 → **Nov. 112.4**

- **Nominal wage growth** is expected to remain subdued for the time being, before gradually recovering from 2026 as service-sector conditions improve.

- **Corporate bond rates** have increased amid heightened concerns over financial stability and expectations of better economic conditions. The **won to U.S. dollar exchange rate** has remained under upward pressure, reflecting the expansion of resident overseas investment. **Housing prices** in the Seoul metropolitan area picked up again but have since moderated following the government's stabilization measures announced on October 15th.

Assumptions on the U.S. tariff policy

☐ It is assumed that **U.S. tariff policy** will maintain its current schedule, including, for Korea, a 15% reciprocal tariff, a 15% tariff on automobiles, and a 50% tariff on steel*.

* Reflecting developments since the August projection, including Korea-U.S. tariff negotiation on Oct. 29#, a 10%p reduction in U.S. tariffs against Chinese goods, and China's removal of tariffs on certain U.S. agricultural products.

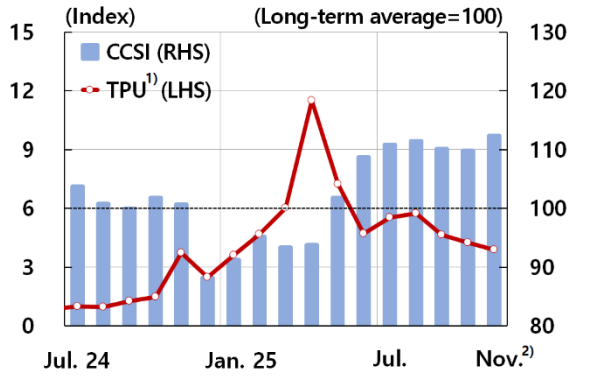
\# A tariff reduction on Korean automobiles taking effect in November, an exemption for generic pharmaceuticals, and zero-tariff for aircraft parts and natural resources unavailable in the U.S.

- Tariffs on **semiconductors and pharmaceuticals** are assumed to be 15%, unchanged from the August baseline, although the imposition on semiconductors is postponed from Q1 2026 to Q3 2026.

→ **The average tariff rate** is assumed to remain **broadly in line with the August baseline scenario.**

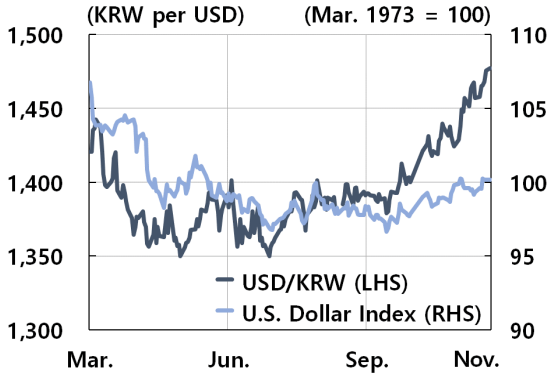
Projection month	Key assumptions of the baseline scenario
► **August**	• Tariffs on Korean imports – 15% for reciprocal tariffs, 50% on steel, aluminum, and copper, and 15% on automobiles and parts – remain unchanged. • In 2026, additional item-specific tariffs of 15% are imposed on semiconductors in Q1 and on pharmaceuticals in Q3.
► **November**	• Tariffs on Korean imports – 15% for reciprocal tariffs, 50% on steel, aluminum, and copper, and 15% on automobiles and parts – remain unchanged, with the tariff on automobiles and parts taking effect in November. • Tariffs between the United States and China have been reduced since early-November. • In 2026, additional item-specific tariffs of 15% are imposed on both semiconductors and pharmaceuticals in Q3, with an exemption for generic pharmaceuticals.

Trade Policy Uncertainty Index (TPU) and Composite Consumer Sentiment Index (CCSI)



Notes: 1) Raw data divided by 100.
2) The Nov. figure is the average for Nov. 1-17.
Sources: Bank of Korea, Caldara et al. (2020).

USD/KRW exchange rate and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

Assumptions for the global economy[1)]

(%)	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
Global economic growth[2)]	3.3	3.4	2.7	3.0 [2.8]	2.8	3.0	2.9 [2.7]	3.1
• United States	2.8	2.1	1.8	1.9 [1.7]	2.2	2.1	2.1 [1.9]	2.0
• Euro area	0.9	1.4	1.2	1.3 [1.1]	1.0	1.3	1.1 [1.1]	1.4
• China	5.0	5.3	4.6	4.9 [4.7]	4.3	4.4	4.4 [4.1]	4.3
Global trade growth[2)]	3.5	4.7	2.7	3.6 [2.6]	1.8	3.0	2.4 [2.4]	3.0
Brent oil prices[3)]	80	71	67	69 [68]	62	63	63 [63]	65

Notes: 1) Figures in [ ] are projections made in August 2025. 2) Year-on-year. 3) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department.

Economic Outlook

☐ **GDP growth is forecast at 1.0% in 2025 and 1.8% in 2026, both above the August projections of 0.9% and 1.6%, respectively. Growth in 2027 is projected to be 1.9%, a slightly faster pace than in 2026.**

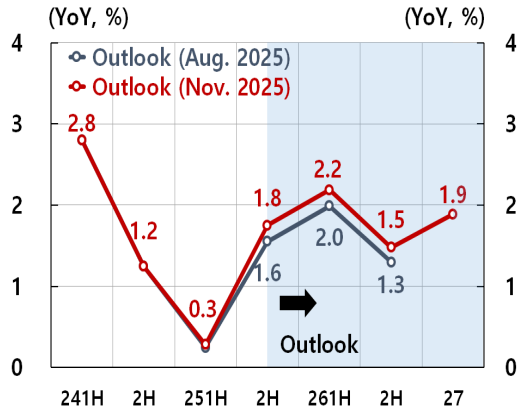
- **Fourth-quarter** GDP growth will decline to 0.2%, due to the base effect from the previous quarter's strong 1.2% growth and slower export growth, particularly in tariff-imposed items.
- In **2026**, growth is expected to strengthen led by domestic demand, as the recovery in consumption continues and construction weakness eases. Exports are likely to slow due to U.S. tariff pressures, although semiconductor exports are anticipated to remain robust. Overall, the growth rate is projected to be 1.8%, above the August forecast of 1.6%.
- In **2027**, the economy is forecast to expand by 1.9%, supported by favorable domestic demand and higher export growth driven by improving global economic conditions.

Korea's growth outlook by expenditure[1)]

(%)	2024	2025[e)]	2026[e)]	2027[e)]
GDP	2.0	1.0 [0.9]	1.8 [1.6]	1.9
• Private consumption	1.1	1.3 [1.4]	1.7 [1.6]	1.7
• Goods exports	6.4	2.9 [2.5]	1.4 [-0.1]	2.4
• Construction investment	-3.3	-8.7 [-8.3]	2.6 [3.8]	1.9
• Facilities investment	1.7	2.6 [2.5]	2.0 [1.0]	1.9

Note: 1) [ ] indicates forecasts as of August 2025.
Source: Research Department.

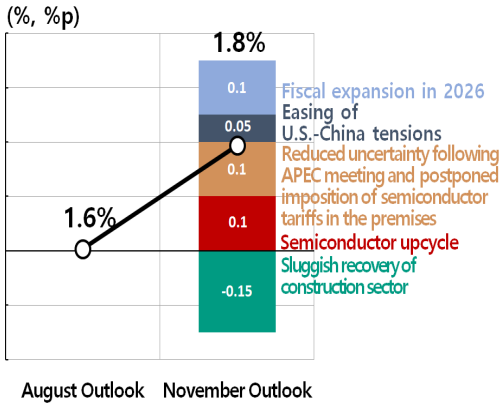
Outlook for GDP growth[1)]



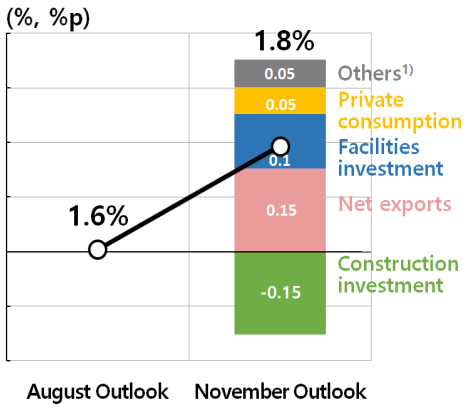
Source: Research Department.

☐ **The 0.2-percentage point upward revision of GDP growth rate in 2026 is attributed to a stronger global semiconductor cycle (approx. +0.1 percentage point), reduced uncertainty following the APEC meeting and the postponed imposition of semiconductor tariffs in the baseline assumption (+0.1 percentage point), fiscal expansion (+0.1 percentage point), and easing of U.S.-China trade tensions (+0.05 percentage points), partly offset by the slow recovery of the construction sector (-0.15 percentage points).**

Revision to GDP growth projection for 2026 (by main driver)



Revision to GDP growth projection for 2026 (by expenditure)



Note: 1) IPP Investment, etc.

☐ **CPI inflation is projected at 2.1% in both 2025 and 2026, slightly higher than anticipated in August – 2.0% and 1.9% for 2025 and 2026, respectively. In 2027, inflation is expected to be at the target of 2.0%.**

* The outlook for core CPI inflation in 2025 remains unchanged from August at 1.9%, while the 2026 figure has been revised up by 0.1%p to 2.0%.

- CPI inflation is forecast to be 2.1% in **2025**, reflecting the elevated exchange rate and rising prices for certain personal services in the fourth quarter.

  * In October, inflation edged up to 2.4% from 2.1% in September, driven by accelerated rise in agricultural and marine product prices due to prolonged autumn rainfall and higher prices for certain personal services related to the surge in tourism demand.

- Looking ahead to **2026**, inflation is expected to remain at 2.1%, with the downward pressure from lower global oil prices outweighed by the effects of a higher exchange rate and an easing of subdued domestic demand. In **2027**, inflation is projected to moderate slightly to 2.0%.

☐ **The current account surplus is likely to remain elevated, reaching USD 115 billion in 2025 and USD 130 billion in 2026, both above the previously projected path.**

- The **goods trade surplus** is expected to widen on the back of improved terms of trade from factors such as a sharp rise in semiconductor prices – driven by stronger demand for AI and general-purpose servers – and stable global oil prices. The **primary income surplus** is also projected to see a further widening.

☐ **Employment is forecast to increase by 180,000 in 2025 and 150,000 in 2026.**

- Although employment in construction and manufacturing sectors is expected to decline due to sluggish construction investment and trade uncertainties, total employment in **2025** is likely to reach its trend level, supported by continued gains in the services sector driven by government employment policies and improving consumption.

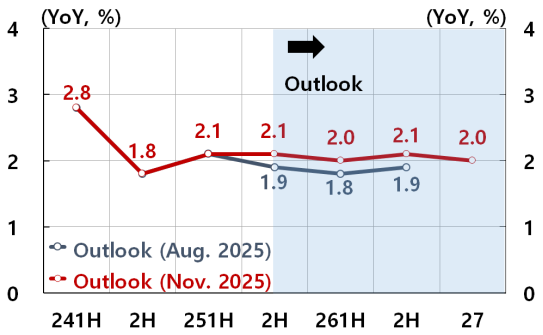
  In **2026**, employment gains are expected to be smaller due to a decrease in the working-age population. Nonetheless, private-sector employment is projected to improve, supported by better conditions in the services sector and an easing of weakness in the construction industry.

Outlook for inflation, current account, and employment[1)]

	2024	2025[e)]	2026[e)]	2027[e)]
Headline inflation	2.3	2.1 [2.0]	2.1 [1.9]	2.0
• Core inflation	2.2	1.9 [1.9]	2.0 [1.9]	2.0
Current account (USD 100 million)	990	1,150 [1,100]	1,300 [850]	1,200
Change in number of employed persons (10,000 persons)	16	18 [17]	15 [13]	15

Note: 1) [ ] indicates forecasts as of August 2025.
Sources: Research Department, Ministry of Data and Statistics.

Outlook for headline CPI inflation



Sources: Research Department, Ministry of Data and Statistics.

Key Risks to the Outlook

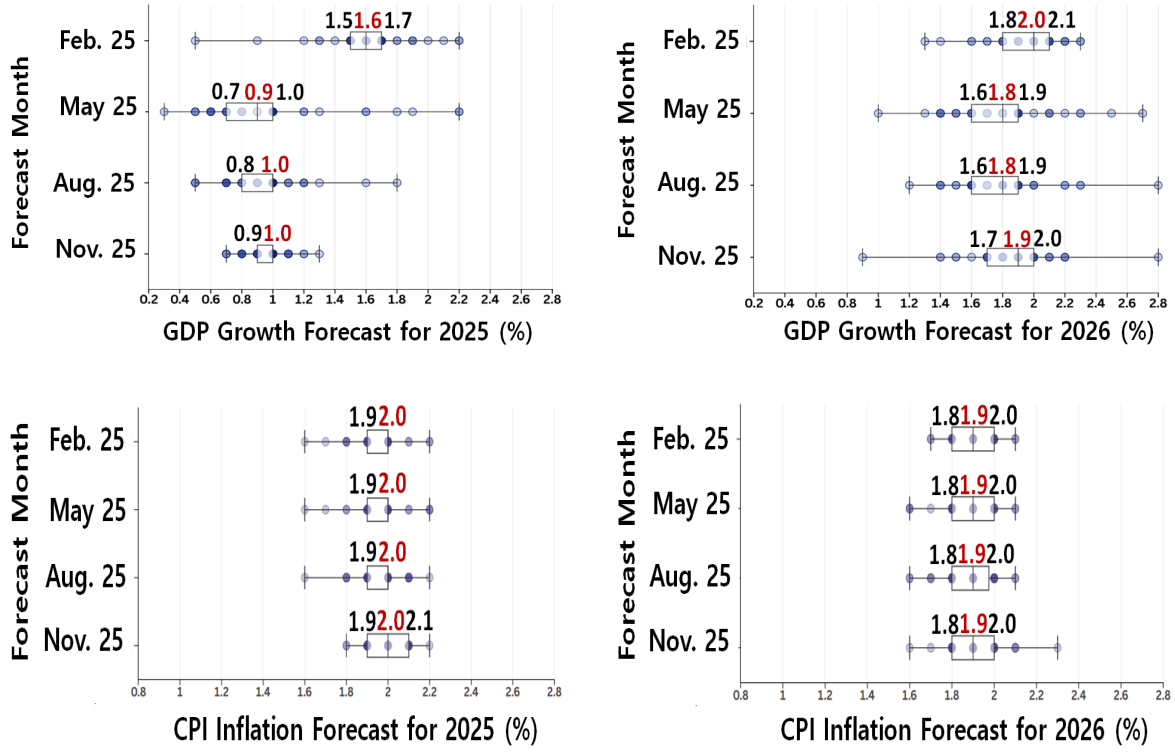
☐ **The growth outlook faces considerable upside and downside risks related to the global trade environment and semiconductor cycle, while inflation is subject to risks from movements in the exchange rate and oil prices.**

	Upside risks	Downside risks
GDP growth	• Further easing of global trade tensions	• Reignition of trade tensions leading to prolonged and heightened uncertainty in the trade environment
	• Additional improvement in semiconductor cycle	• Instability in global financial markets (concerns about overinvestment in AI and the fiscal sustainability of major economies)
	• Stronger growth in inbound tourism	• Deepening weakness in non-IT sectors
CPI inflation	• Persistently high exchange rate	• Excess supply of global crude oil
	• Sustained strength in the prices of agricultural and marine products	• Stronger government measures to stabilize prices

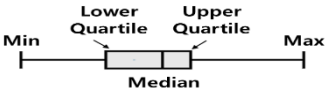
☐ **Major forecasting institutions have kept their 2025 growth projections unchanged from August and have slightly raised their 2026 projections, while maintaining their inflation forecasts.** The median of GDP growth forecasts among market participants remains unchanged from August at 1.0% for 2025, while the median for 2026 has been revised up by 0.1 percentage point to 1.9% from 1.8% in August. For CPI inflation, the median forecast remains unchanged from August, standing at 2.0% for 2025 and 1.9% for 2026.

Distribution of GDP growth[1] and CPI inflation[2] forecasts

2025 **2026**



Notes: 1) Based on 36 to 42 institutions.
2) Based on 28 to 38 institutions.
Source: Bloomberg (Data retrieved on November 7).



☐ **While semiconductor exports driven by the expansion of AI have been supporting economic growth, market sentiment is divided between expectations of continued AI-led momentum and concerns about overinvestment, heightening uncertainty surrounding the semiconductor cycle. Accordingly, the following alternative scenarios are presented.**

- **Optimistic scenario (sustained momentum in semiconductor exports):** This scenario assumes that solid semiconductor demand continues amid the spread of AI and that the U.S. postpones the imposition of semiconductor-related tariffs, allowing Korea's semiconductor exports to sustain growth at a pace close to mid-10% range seen in 2025. Under this scenario, Korea's **GDP growth** is estimated to be **0.2 percentage points higher for 2026** and **0.3 percentage points higher for 2027**, while **inflation** is projected to be **0.1 percentage point higher in both years, relative to the baseline outlook**.

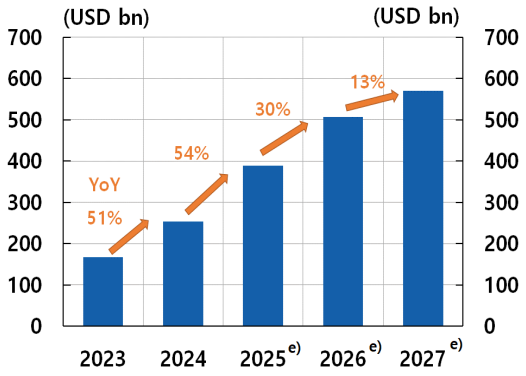
- **Pessimistic scenario (stagnation in semiconductor demand):** This scenario assumes that AI investment proves to be excessive, leading to a slowdown in semiconductor demand from the second half of 2026 and stagnation in the following year. Under this scenario, Korea's **GDP growth** is estimated to be **0.1 percentage point lower for 2026** and **0.3 percentage points lower for 2027**. For **inflation,** the impact is expected to be **limited for 2026**, while the rate is estimated to be **0.1 percentage point lower for 2027**.

Semiconductor export assumptions by scenario[1)]

	Key assumptions
Baseline scenario	▶ The growth of semiconductor export volumes moderate gradually. (mid-10% in 2025 → around 7% in 2026 → around 5% in 2027)
Optimistic scenario	▶ Export volume growth is assumed to remain close to 2025's mid-10% range.
Pessimistic scenario	▶ From 2H26, export volume growth slows, eventually flattening to 0% in 2027.

Note: 1) The figures are based on the semiconductor export volume index.
Source: Research Department.

U.S. big tech[1)] CapEx projection



Note: 1) M7 companies, including Google, Microsoft, etc.
Source: Bloomberg.

GDP growth and inflation outlook by scenario

GDP Growth rate

(%, %p)	2025e)	2026e)	2027e)
Baseline Projection	**1.0**	**1.8**	**1.9**
Optimistic scenario		**+0.2**	**+0.3**
Pessimistic scenario		**-0.1**	**-0.3**

Source: Research Department.

CPI Inflation

(%, %p)	2025e)	2026e)	2027e)
Baseline Projection	**2.1**	**2.1**	**2.0**
Optimistic scenario		**+0.1**	**+0.1**
Pessimistic scenario		**-**	**-0.1**

Economic Outlook Summary (November 2025)

	2024	2025			2026e)			2027e)
	Year	H1	H2e)	Yeare)1)	H1	H2	Year1)	Year
Main Premises of the Baseline Outlook								
Global economic growth (%)2)	**3.3**	3.4	2.7	**3.0** [+0.2]	2.8	3.0	**2.9** [+0.2]	**3.1**
• United States	**2.8**	2.1	1.8	**1.9** [+0.2]	2.2	2.1	**2.1** [+0.2]	**2.0**
• Euro area	**0.9**	1.4	1.2	**1.3** [+0.2]	1.0	1.3	**1.1** [-]	**1.4**
• China	**5.0**	5.3	4.6	**4.9** [+0.2]	4.3	4.4	**4.4** [+0.3]	**4.3**
• Japan	**-0.2**	1.9	0.6	**1.2** [+0.2]	-0.3	1.2	**0.5** [-]	**0.8**
Global trade growth (%)2)	**3.5**	4.7	2.7	**3.6** [+1.0]	1.8	3.0	**2.4** [-]	**3.0**
Brent oil price (USD/barrel)3)	**80**	71	67	**69** [+1]	62	63	**63** [-]	**65**
Domestic economic outlook								
GDP growth (%)2)	**2.0**	0.3	1.8	**1.0** [+0.1]	2.2	1.5	**1.8** [+0.2]	**1.9**
• Private consumption	**1.1**	0.7	1.9	**1.3** [-0.1]	2.2	1.3	**1.7** [+0.1]	**1.7**
• Construction investment	**-3.3**	-12.2	-5.3	**-8.7** [-0.4]	2.5	2.7	**2.6** [-1.2]	**1.9**
• Facilities investment	**1.7**	4.5	0.8	**2.6** [+0.1]	2.8	1.3	**2.0** [+1.0]	**1.9**
• IPP investment	**1.2**	1.9	4.0	**3.0** [+0.1]	3.5	2.7	**3.1** [+0.6]	**2.5**
• Goods exports	**6.4**	1.7	4.0	**2.9** [+0.4]	2.3	0.5	**1.4** [+1.5]	**2.4**
• Goods imports	**1.3**	1.7	2.9	**2.3** [+0.5]	4.1	0.8	**2.4** [+1.4]	**2.6**
Headline CPI inflation (%)2)	**2.3**	2.1	2.1	**2.1** [+0.1]	2.0	2.1	**2.1** [+0.2]	**2.0**
• Core inflation4)	**2.2**	1.9	1.9	**1.9** [-]	2.0	2.1	**2.0** [+0.1]	**2.0**
Current account (USD 100 million)	**990**	494	656	**1,150** [+50]	567	733	**1,300** [+450]	**1,200**
• Goods	**1,001**	520	682	**1,202** [+49]	651	734	**1,386** [+451]	**1,288**
• Services	**-237**	-151	-162	**-314** [-8]	-184	-177	**-361** [-18]	**-379**
• Primary and secondary income	**226**	125	136	**261** [+8]	100	175	**275** [+17]	**291**
Change in number of employed persons (10,000 persons)2)	**16**	18	19	**18** [+1]	14	15	**15** [+2]	**15**
Unemployment rate (%)	**2.8**	3.1	2.5	**2.8** [-]	3.1	2.6	**2.8** [-0.1]	**2.8**
Employment rate (%)5)	**62.7**	62.6	63.1	**62.9** [+0.1]	62.7	63.2	**62.9** [-]	**63.0**

Notes: 1) Figures in [ ] show the changes from projections as of August 2025.
2) Year-on-year. 3) By period average. 4) Excluding food and energy. 5) Aged 15 and over.
Sources: Bank of Korea, Statistics Offices of each region, Bloomberg.

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

1.1. The global economy is expected to show a better-than-expected growth trajectory. This growth is driven by expansionary policies in major countries and robust global investment in artificial intelligence (AI). Additionally, trade policy uncertainty has eased somewhat following the recent trade agreements between the United States and other major economies. In the third quarter, the euro area experienced a gradual recovery, supported by growth in the services sector and increased domestic demand. Meanwhile, China's economy grew faster than expected, largely due to strong exports to regions other than the United States. Although the United States faced delays in releasing official statistics due to the prolonged federal government shutdown, consumption and investment are expected to maintain a favorable trajectory. The Global PMI continues to show solid expansion, supported by strength in the services sector. Despite the impact of U.S. tariffs, the global economy's sustained expansion is attributed to several factors: a significant number[1] of items qualifying for tariff deferrals or exemptions, better-than-expected responses[2] by enterprises, and virtually no retaliatory tariffs from other countries. Furthermore, the recent global AI investment boom has driven up stock markets worldwide and boosted semiconductor and IT exports from Asian emerging market countries, contributing to sustained global economic resilience.

Since the August projection, the United States has advanced trade agreements with South Korea, the EU, Japan, and ASEAN states. It has also agreed with China on measures such as a 10-percentage-point fentanyl tariff reduction, postponement of reciprocal tariffs and export controls on rare earth elements and semiconductors, until November 2026. While trade conditions improve,[3] easing monetary policy, expansionary fiscal positions in major economies, and the global AI investment boom are expected to underpin global economic growth.

In 2026, global trade growth is projected to slow due to U.S. tariffs and the fading frontloading effect in 2025, despite major countries' efforts to diversify their trade partners.

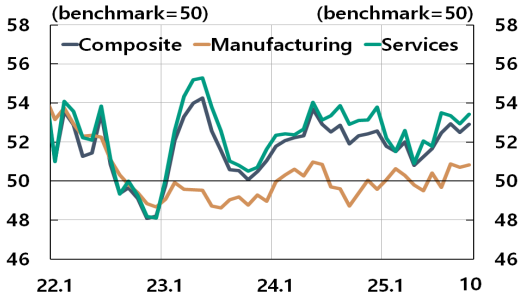
[1] For example, semiconductors (including some IT products such as smartphones) and pharmaceuticals remain tariff-free due to delays in investigation announcements. Canada and Mexico face high headline tariffs, but the scope of USMCA tariff exemptions for covered items is significant. Additionally, although reciprocal tariffs took effect on August 7, goods shipped before that date and arriving in the United States by October 5 are subject only to the basic 10% tariff as a transitional measure.

[2] Companies preemptively secured inventories and diversified supply sources, creating significant capacity to absorb tariff-related cost shocks. However, as this buffer gradually diminishes, negative impacts are likely to emerge.

[3] Although the United States added tariffs on wood products, furniture, trucks, and other items after the August projection, the average U.S. tariff rate declined slightly due to the China fentanyl tariff cut and expanded reciprocal tariff exemptions (see Figure 1.2; 13.9% as of November).

Global economic expansion is led by the services sector

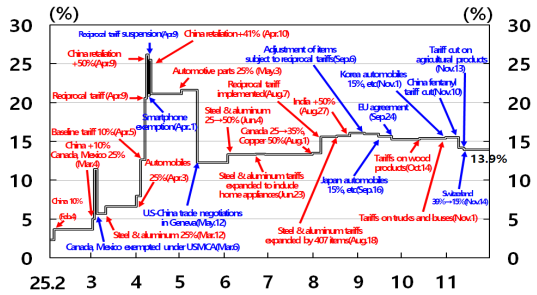
Figure 1.1. Global PMI



Sources: S&P Global, JPM.

Average U.S. tariff rate has declined slightly since the August projection

Figure 1.2. Trends of average U.S. tariff rate across all countries[1)]

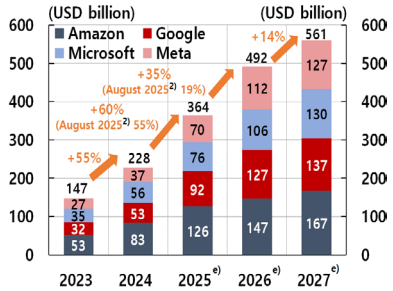


Note: 1) Estimated based on U.S. import data from 2024.
Source: Research Department.

1.2. The global semiconductor sector is expected to continue expanding in 2026, with conditions remaining favorable for chip suppliers. By item, high-performance semiconductors (HBMs) are recording strong year-on-year growth in the second half of 2025, after making robust gains in the first half. In the general-purpose semiconductor segment, supply conditions have tightened as capacity has shifted toward advanced manufacturing nodes driven by solid HBM demand, alongside a significant rise in data storage demand(NAND) and server replacement has led to a steeper rise in prices. Looking ahead, the global semiconductor sector is projected to continue recording solid growth, underpinned by sustained investment by corporates and sovereigns seeking to secure leadership in AI. As for the global semiconductor sector, the outlook is characterized by both significant upside and downside risks. On the upside, the broader diffusion of AI, including physical AI, is expected to support demand, while on the downside, concerns about overinvestment in AI and the imposition of U.S. tariffs on semiconductors and IT devices weigh on the outlook.

U.S. big tech investment is expected to continue growing steadily

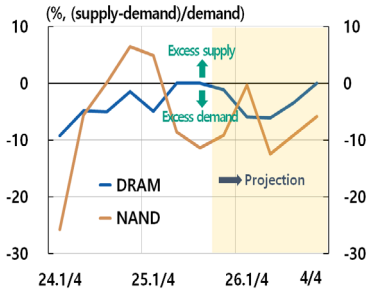
Figure 1.3. U.S. big tech CapEx[1)]



Notes: 1) Data covers actual CapEx results for U.S. big tech firms from Q1 2023 to Q3 2025. Figures from Q4 2025 onward are based on investment bank estimates as of November 18, 2025.
2) Projections are based on outlooks and forecasts available as of August 2025.
Source: Bloomberg.

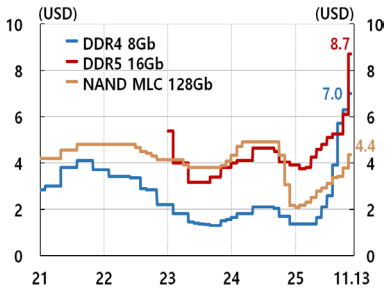
Prices of general-purpose semiconductors have surged amid strengthening demand and constrained supply

Figure 1.4. DRAM and NAND supply outlook



Source: Trendforce (November 2025).

Figure 1.5. DRAM and NAND contract prices



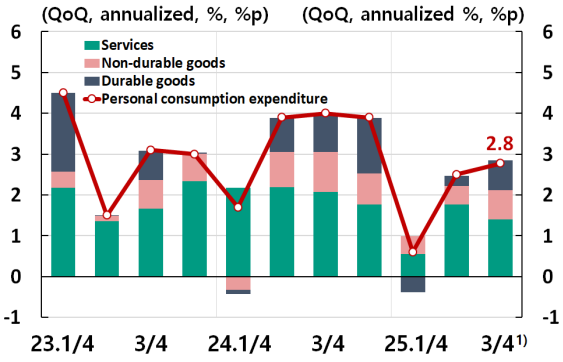
Source: DRAMeXchange.

1.3. By major economies, the U.S. economy is expected to grow at around 2%, bolstered by political support (OBBBA, policy rate cuts) and expanded AI investment, despite the slowdown in employment.

In the third quarter, the U.S. economy recorded solid growth, led by consumption and investment.[4] Consumption growth accelerated slightly in July and August compared with the previous quarter, and this trend was broadly maintained in September.[5] Investment remained robust, particularly in AI-related infrastructure, as capital expenditures by major hyperscalers such as Google and Meta increased. However, as concerns about slowing employment have increased, the U.S. Federal Reserve reduced its policy rate by a cumulative 50 basis points in September and October and decided to end quantitative tightening (QT) from December, despite upward pressure on prices following recent U.S. tariff hikes. Going forward, the U.S. economy is expected to grow more than initially anticipated, supported by tax cuts, policy rate reductions, and expanded AI-related investment, although rising prices and slowing employment are constraining households' real income and weighing on consumption.[6] On the future growth path, an easing of tariff policy and further expansion of investment in the U.S. constitute upside risks, while a re-escalation of trade disputes, faster slowdown in employment, and sharp pullback in AI-related investment all pose downside risks.

U.S. consumption was stronger than expected in Q3

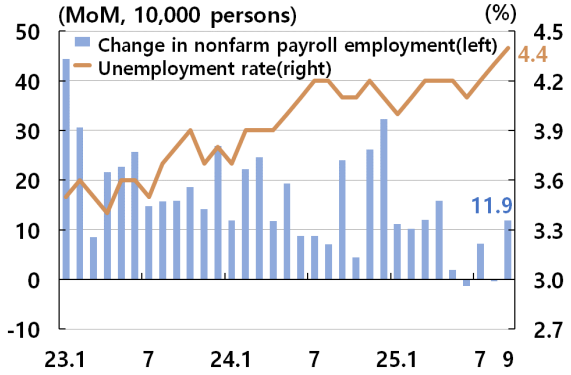
Figure 1.6. U.S. personal consumption growth and contributions



Note: 1) Growth in July and August compared with the average monthly growth rate in the second quarter.
Source: BEA.

Employment continues to increase, albeit at a moderate pace

Figure 1.7. U.S. labor market conditions



Source: BLS.

[4] Due to the suspension of official statistics releases following the federal government shutdown, alternative economic indicators have been used for data from September onward.

[5] ► Real retail sales (excluding automobiles, year-on-year, Federal Reserve Bank of Chicago): +0.3% in August → -0.2% in September → +0.3% in October
► Services sector PMI (S&P): 54.5 in August → 54.2 in September → 54.8 in October

[6] Due to the record-long federal government shutdown, GDP growth in the fourth quarter may temporarily weaken. However, as growth is expected to recover in the first quarter following the resumption of government operations, the overall impact on the economy is likely to be limited.

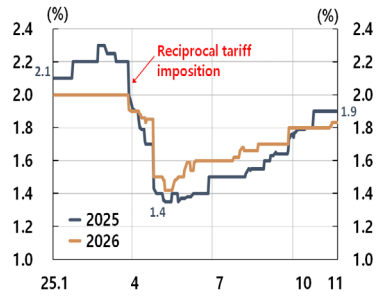
FYI 1 Background of the Recent Sustained Strength of the U.S. Economy

Despite the intensive implementation of tariff measures, the U.S. economy has recorded solid growth, exceeding market expectations. In the first quarter of 2025, amid heightened policy uncertainty ahead of the imposition of reciprocal tariffs in April, the U.S. economy posted negative growth of -0.6% (quarter-on-quarter, annualized), which weighed on market sentiment. However, in the second and third quarters, it has maintained growth of around 3% (3.8% in Q2 and 2.8% in Q3, according to investment bank forecasts). Given that the U.S. economy is operating with a sizable positive GDP gap, its current rate of growth is assessed to be highly robust. Reflecting these developments, major investment banks have steadily revised up their projections for U.S. GDP growth in 2025, from 1.4% in April - June (1.5% for 2026) to 1.9% in November (1.8% for 2026) (Figure 1). **This unexpected sustained strength of the U.S. economy is attributed to a smaller-than-anticipated impact from the tariff measures as well as favorable consumption and investment conditions underpinned by the AI boom and rising equity prices.**

<1> Tariff policy shock was smaller than anticipated

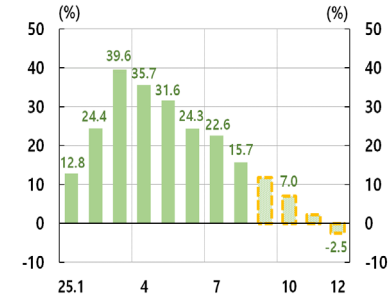
Businesses responded proactively to the sharp tariff hikes by stockpiling imports ahead of time, while the actual policy intensity proved weaker than expected, limiting the impact on the real economy. U.S. firms amassed roughly 40% of their monthly average import volume in inventories prior to the tariff increases and drew them down throughout the year (Figure 2). Tariff costs were also shared[7] across economic agents—overseas exporters, U.S. firms, and U.S. consumers—further mitigating the shock. Moreover, imports were quickly redirected to countries facing lower tariff rates, while various exemptions and deferrals[8] further reduced the effective tariff burden. For example, in Mexico and Canada—the largest (15.5% of total U.S. imports) and third largest (12.6%) exporters to the United States—the share of items exempt from U.S. reciprocal tariffs under the USMCA rose sharply from 49% and 38% in 2024, respectively, to 85% in July 2025. Hence, the effective U.S. tariff rate in August stood at 11.2% (Federal Reserve Bank of New York estimate), 5 percentage points lower than the previously forecast average tariff rate based on 2024 import volumes (Figure 3).

Figure 1. Change in U.S. economic growth projection (average of investment bank estimates)



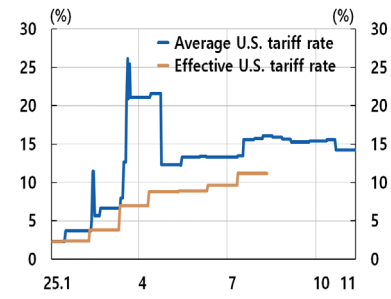
Source: Bloomberg.

Figure 2. Cumulative imports relative to trend[1)2)] before and after tariff measures



Notes: 1) Accumulated monthly average imports relative to trend.
2) Figures after September estimated assuming a linear trend.
Sources: Census Bureau, Research Department estimates.

Figure 3. Average[1)] vs. effective[2)] U.S. tariff rates



Notes: 1) Weighted by 2024 import volume.
2) August figures estimated by Federal Bank of New York.
Sources: USITC, New York Fed, Research Department estimates.

[7] According to major investment banks (Goldman Sachs, BNP Paribas), approximately 10 to 20% of the tariff burden was borne by overseas exporters, 50 to 60% by U.S. firms, and 20 to 40% by U.S. consumers.

[8] For example, of the reciprocal tariffs announced in April, only a tariff of 10% was imposed until August 7. Even after formal implementation, shipments loaded before August 7 and arriving in the United States by October 5 were subject to only the 10% rate.

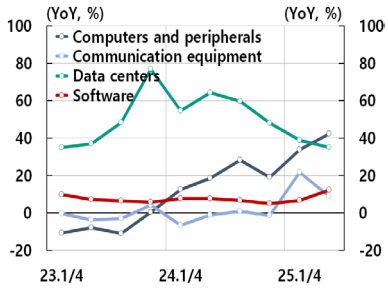
<2> AI investment boom and tax reform drove sharp corporate investment growth

Robust global AI demand and tax reform (OBBBA) to stimulate investment combined to accelerate corporate investment. As U.S. big tech firms competed to build data centers, spending on AI-related facilities (GPUs, servers, etc.), data center construction, and IP software surged (Figure 4). The year-on-year capital expenditure growth rate for the Magnificent Seven is projected at 53.7% (average of investment bank estimates), exceeding last year's pace. AI investment[9] contributed +1.0 percentage point (annualized quarterly average) to first-half growth in 2025, offsetting weakness in other investment categories (Figure 5).[10] In addition, the Trump administration's One Big Beautiful Bill Act (OBBBA), signed into law in July 2025, allowed[11] the immediate expensing of eligible capital expenditures made in 2025, significantly reducing the user cost of capital. This tax reform boosted private fixed investment by 1.0% (equipment investment +1.8%, non-residential construction +1.0%), contributing 0.1 percentage points to GDP growth (net of imports) in 2025.[12]

<3> Favorable household income and asset conditions supported consumption

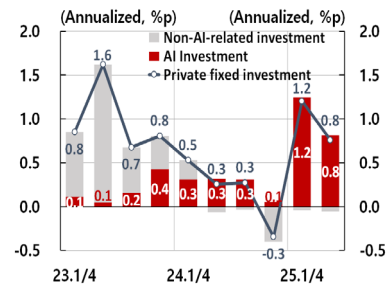
Rising nominal household income offset tariff-driven price pressures, while a buoyant stock market reinforced spending momentum through the wealth effect. Although the PCE deflator reached 2.7% year-on-year in August amid emerging tariff effects, nominal disposable income grew 4.6%, delivering a solid[13] 2.0% increase in real income. In addition, the ongoing stock market rally has boosted consumption propensity among middle- and high-income households.[14] Since the rebound began in April, discretionary goods[15] spending has risen 2.0%, outpacing necessity goods growth of 0.7% (Figure 6), signaling a clear wealth effect. Beach et al. (2025, Fed) estimate a wealth MPC of around 0.012. Applying this suggests[16] that sustained high stock prices could add 0.2 percentage points to annual GDP growth.

Figure 4. AI-related investment growth rate



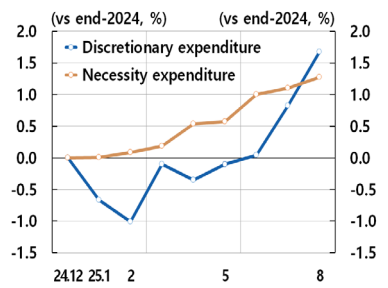
Source: BEA.

Figure 5. Private fixed investment contribution to GDP growth



Sources: BEA, Research Department estimates.

Figure 6. Discretionary expenditure and necessity expenditure growth



Sources: BEA, Research Department estimates.

[9] This section draws on O'Trakoun (2025, Richmond Fed), defining AI investments as GDP private fixed investment components closely tied to AI infrastructure, including ① computers and peripherals, ② communication equipment, ③ data centers, and ④ software.

[10] However, since a significant share of AI infrastructure equipment (such as GPUs) relies on imports, the net contribution of AI-related investments to GDP growth is estimated to be approximately 0.3 to 0.8 percentage points (Morgan Stanley, Barclays).

[11] Specifically, OBBBA expanded the 100% bonus depreciation to facilities investment (useful life ≤ 20 years) and manufacturing construction (projects commencing construction before 2028 and entering operation before 2030), up from the prior 40% rate, while also allowing the full immediate expensing of domestic R&D expenditures in the current fiscal year.

[12] Drawing on Hassett and Hubbard (2002), the change in the user cost of capital was calculated based on the present value of depreciation deductions. The investment cost elasticity estimates from Hassett and Hubbard (2002), Schaller (2006), and Hartley et al. (2025) were then applied.

[13] While below the pre-pandemic average of 2.4%, this represents favorable growth given the high base effect from the 2023-2024 average of 4.5%.

[14] In the United States, the top income quintile (top 20%) holds 87% of total stocks (Federal Reserve) and accounts for 40% of total consumption (2023 Consumer Expenditure Survey).

[15] Necessity goods include food and beverages, fuel, housing, utilities (water, electricity), and healthcare. Discretionary goods include furniture, leisure/cultural activities, dining out, and personal services.

[16] The GDP growth contribution effect can be calculated using $\sum_h s_h r_h m \times \theta / Y_{2024} \times 100$, where s_h is total household stock assets in the month of h, r is (rate of increase in stock prices vs. previous period) change in stock prices from the previous period, m is wealth MPC (0.012), θ is share of domestic production, and Y_{2024} is nominal GDP in 2024.

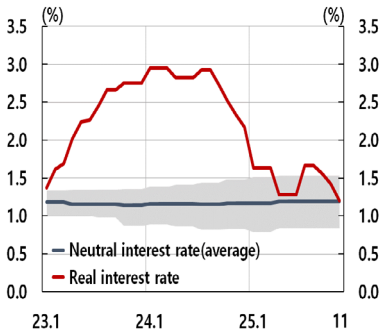
<4> Policy rate cuts also supported domestic demand

The Federal Reserve's policy rate reductions improved overall domestic demand conditions, including consumption and investment. The Fed cut rates by 100 basis points in the second half of 2024 and by an additional 50 basis points across September and October 2025. Notably, the real interest rate (adjusted for professional forecasters' inflation expectations) fell to 1.2% in November 2025 amid rising tariff-driven inflation expectations (Figure 7). With the neutral interest rate (NRIR) estimated at around 1%[17] across models—as noted in Vice Chair Jefferson's November 7 assessment—the policy rate has moved closer to neutral levels. Drawing on studies such as Kiley (2025, Fed), the policy rate cuts implemented to date are estimated to boost U.S. GDP growth by 0.1 percentage points in 2025 and 0.15 percentage points in 2026.

In summary, while price pressures and slowing employment may restrain consumption, the U.S. economy is projected to achieve solid annual growth of around 2% (2.1% in 2026, 2.0% in 2027)—below potential but supported by tax cuts, further rate reductions, and sustained AI investment. As factors that had offset tariff headwinds – such as inventory stockpiling and reciprocal tariff deferrals – gradually weaken, rising consumer burdens amid slowing employment growth are expected to exert downward pressure on consumption. Still, with the AI investment cycle expected to continue for some time (Figure 8) and OBBBA tax cuts remaining in effect, investment's contribution to growth in 2026 should remain robust. Additionally, following tariff negotiations, foreign direct investment in the United States is anticipated to rise substantially. If the Federal Reserve implements the expected three rounds of 75-basis-point rate cuts (Figure 9), the real interest rate will dip below neutral, significantly boosting domestic demand.

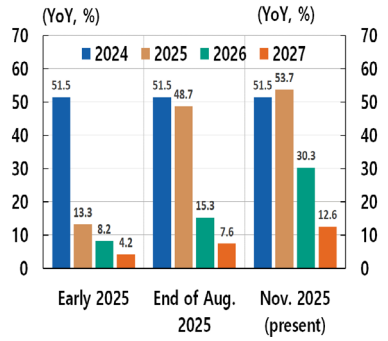
However, significant uncertainty remains regarding the sustainability of the AI investment boom, related stock prices, and the scale of tariffs on semiconductors and pharmaceuticals. While more market participants expect the stock price rally to continue into 2026 alongside the AI investment boom, markets are likely to react sharply if AI investment underperforms expectations.[18] **The evolution of these AI investment uncertainties is expected to significantly impact the global economy, including that of Korea, in 2026.**

Figure 7. U.S. real interest rate and neutral rate estimates[1)]



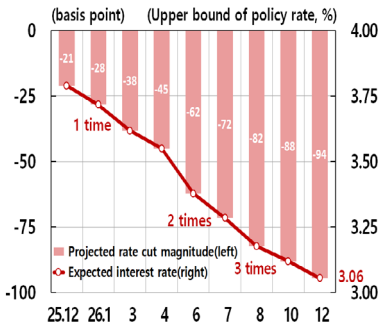
Note: 1) Shaded area shows range of four neutral rate estimates from U.S. Fed and regional Feds.
Sources: Cleveland Fed, New York Fed, Philadelphia Fed, FRB, FRED.

Figure 8. Magnificent 7 CapEx projections by forecast date



Source: Bloomberg.

Figure 9. Market expectations for Fed rate cuts (November 19)



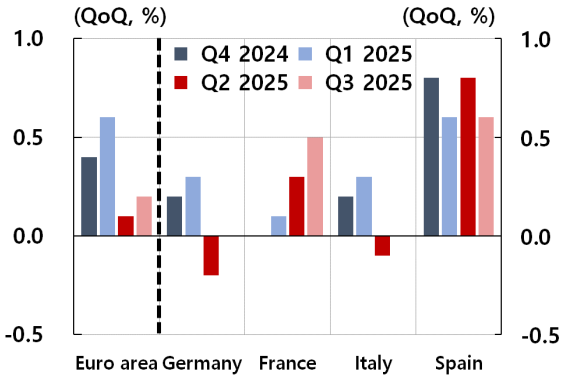
Source: CME FedWatch.

[17] The FRB/US model estimates the NRIR at 1%, Cleveland Fed (September 2025) at 1.5%, and New York Fed at 0.8 to 1.3%.
[18] As of November 2025, the S&P 500's 12-month forward PER ratio stood at 24, higher than the 10-year average of 19 (Bloomberg).

1.4. The euro area economy is expected to continue improving gradually, supported by monetary policy easing to date and expansionary fiscal stances in major member states. In the third quarter, the euro area economy grew by 0.2%, led by the services sector. Manufacturing faced tariff-related headwinds, with industrial production declining by 0.1% quarter-on-quarter and the manufacturing PMI hovering around the 50 mark. Meanwhile, services showed relatively rapid improvement (PMI: 50.5 in June, 51.3 in September, 53.0 in October). France and Spain posted solid growth of 0.5% and 0.6% quarter-on-quarter, respectively, while Germany and Italy stagnated at 0.0%, highlighting significant cross-country divergence.[19] Going forward, the euro area economy is expected to continue improving, supported by monetary policy easing to date and expansionary fiscal measures in major countries, especially Germany.[20] However, an unfavorable trade environment—U.S. tariff increases and euro appreciation—will temper the pace of recovery. Looking ahead, upside risks include more favorable outcomes from further tariff negotiations and additional fiscal expansion in major economies, while downside risks stem from a potential resurgence of trade conflicts and heightened geopolitical tensions.

Growth across the euro area remains differentiated

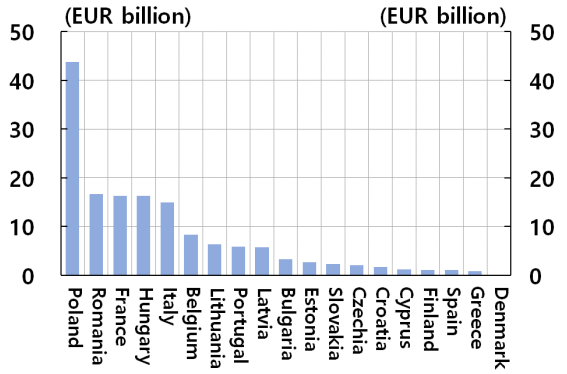
Figure 1.8. GDP growth rates of euro area and major countries



Source: Eurostat.

Expansionary fiscal stance set for defense spending

Figure 1.9. Tentative SAFE loan allocations by country



Source: European Commission.

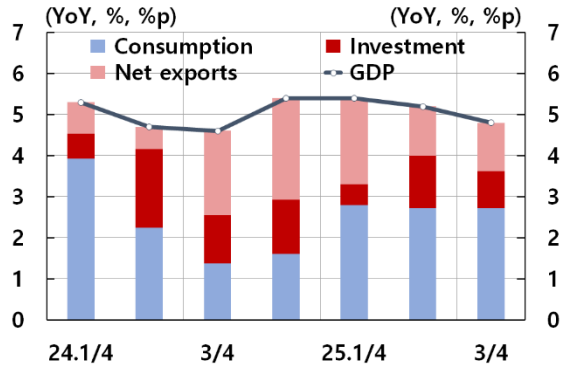
[19] In France, growth was driven by increased aircraft exports following the easing of engine supply disruptions. In Spain, robust domestic demand—private consumption (0.7% in Q2 → 1.2% in Q3) and investment (0.7% → 1.7%)—led the expansion. Meanwhile, in Germany, concerns are mounting that the manufacturing weakness could accelerate amid U.S. tariffs, Chinese competition, and structural headwinds such as high costs and regulations.

[20] Germany's 2025 federal budget (EUR 503 billion in total expenditures) was approved by the Bundestag on September 18, 2025. The 2026 budget draft (EUR 520.5 billion in expenditures) has been submitted to the Bundestag and is currently under deliberation. The EU finalized country allocations for the Security Action for Europe (SAFE) defense loan program (EUR 150 billion total) on September 9, 2025. Loans will be disbursed starting in early 2026 following the submission of detailed national investment plans and loan agreement signatures.

1.5. China's economy is likely to grow faster than previously expected, supported by easing U.S.-China trade tensions and efforts to diversify export markets. However, the pace of growth is expected to moderate gradually as the recovery of domestic demand remains subdued. Recently, despite sluggish domestic demand and declining U.S. exports, China's economy grew solidly by 4.8% in Q3, propelled by the robust expansion of exports to the EU, ASEAN, and Africa. Looking ahead, while China's economy is expected to outperform forecasts due to easing U.S.-China trade tensions—including a 10-percentage-point fentanyl-related tariff cut—growth is likely to moderate gradually amid a subdued domestic demand recovery and ongoing real estate investment slump. China is expected to counter slowing growth through domestic demand stimulus policies and export market diversification. Upside risks include additional government economic support measures, while downside risks stem from renewed U.S.-China tensions.

China's growth was solid in Q3

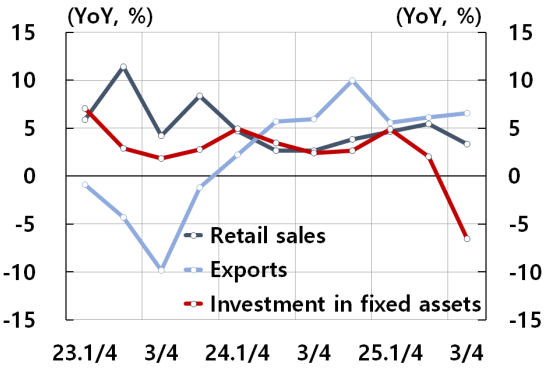
Figure 1.10. China's GDP growth and sectoral contributions



Sources: National Bureau of Statistics of China, Research Department.

Sluggish domestic demand is expected to limit future growth

Figure 1.11. China's retail sales, investment, and exports

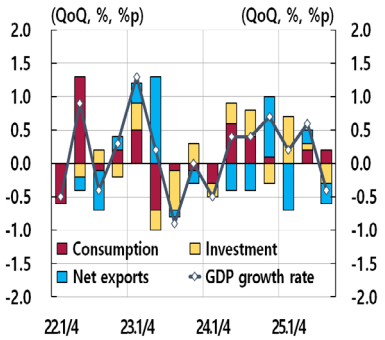


Sources: National Bureau of Statistics of China, Haver, General Administration of Customs of the People's Republic of China.

1.6. Japan's economic recovery is expected to remain weak in the near term. In the third quarter, the Japanese economy recorded a quarter-on-quarter growth rate of -0.4%, as both exports and construction investment declined. Exports on a GDP basis turned downward due to sluggish exports to the United States following the imposition of U.S. tariffs, while construction investment also fell sharply due to tighter construction regulations.[21] Meanwhile, private consumption showed signs of slowing, as the decline in real wages continued. The Japanese economy is expected to remain subdued for the near term, as the impact of U.S. tariff policies persists. However, growth is projected to improve somewhat from the second half of 2026 onward, supported by an increase in automation and digital investment to address labor shortages, as well as an expansion in fiscal spending under the new government.

Japan records its first negative growth in six quarters

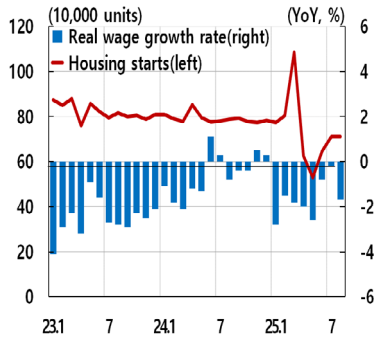
Figure 1.12. Japan's GDP growth contributions[1)]



Note: 1) Consumption includes government consumption; investment includes government investment and inventories.
Source: Cabinet Office of Japan.

Decline in real wages continues and construction investment remains sluggish

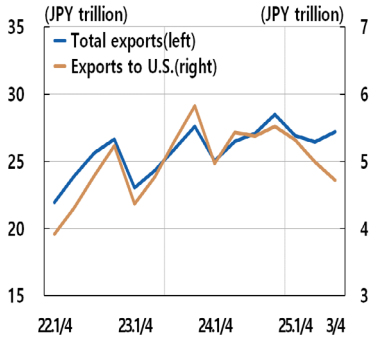
Figure 1.13. Real wage growth rate and housing starts[1)]



Note: 1) figures converted to a SAAR (seasonally adjusted annualized rate) basis.
Sources: Cabinet Office of Japan, CEIC.

Exports to the U.S. decline due to the impact of tariffs

Figure 1.14. Japan's exports



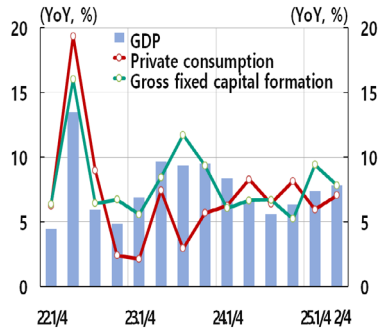
Source: CEIC.

[21] Following the April 2025 revision of Japan's Building Standards Act mandating energy efficiency compliance, construction starts surged ahead of the introduction of stricter permit procedures for new builds and expansions, leaving housing subdued in the third quarter.

1.7. Asian emerging market economies are expected to post somewhat lower growth in 2026 due to the impact of U.S. tariffs but remain resilient, supported by expansionary fiscal policies across the region. India recently posted solid growth driven by domestic demand, supported by a boost to consumption from rising rural incomes and expanded government spending. ASEAN-5 countries sustained their robust growth, primarily driven by exports and investment. In the third quarter, exports[22] on a customs basis achieved double-digit growth for five consecutive quarters, mainly in IT products, supported by delayed item-specific semiconductor tariffs and robust AI-related demand. Going forward, Asian EMEs are projected to see moderate growth amid slowing exports due to U.S. tariff hikes, though expansionary fiscal policy and monetary easing are likely to cushion the downside. India is mitigating the U.S. tariff shocks through government export support measures and consumption tax cuts.[23] ASEAN-5 economies are expected to sustain favorable growth, supported primarily by domestic demand, despite high uncertainty related to U.S. tariffs, considering governments' plans to expand infrastructure investment in data centers and transportation networks, as well as ongoing central bank rate cuts.

India shows solid growth led by domestic demand

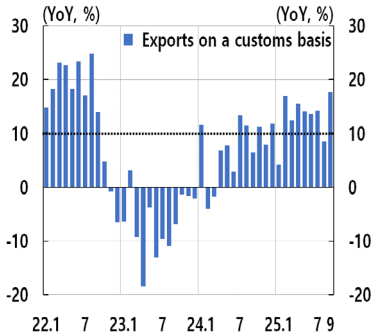
Figure 1.15. India's growth rate by expenditure component



Source: Ministry of Statistics and Programme Implementation of India.

ASEAN countries post favorable growth driven by exports

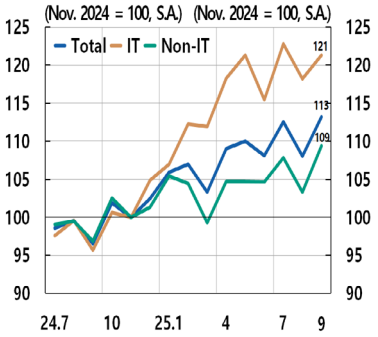
Figure 1.16. ASEAN-5 exports on a customs basis



Sources: statistics offices in each area, Haver.

ASEAN's exports are led by the IT sector

Figure 1.17. ASEAN-5 IT vs. non-IT exports



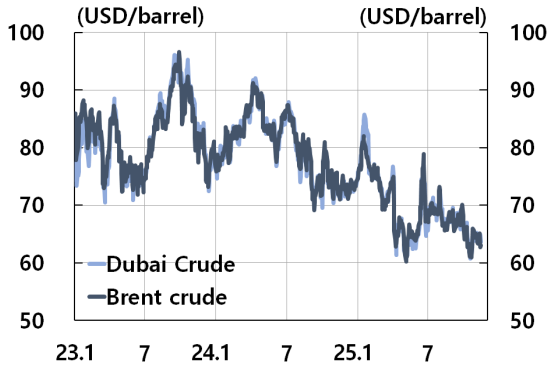
Source: CEIC.

[22] Q3 export growth (YoY, %): ASEAN-5 (13.4%), Vietnam (18.2%), Philippines (12.8%), Malaysia (12.3%), Indonesia (9.0%)
[23] India implemented a tax reform package on September 22, 2025, aimed at boosting consumption, which includes the simplification of the tax rate structure and reductions in tax rates on essential goods and key durable items.

1.8. Global oil prices (Brent crude) are expected to decline in the near term, reflecting increased supply from major oil-producing countries, before gradually rising in the second half of 2026 as global demand improves. Recently, global oil prices fluctuated around the low- to mid-USD 60 level amid persistent supply surpluses, influenced by the U.S. federal government shutdown (October 1), U.S. sanctions on Russia (October 22),[24] and U.S.-Ukraine negotiations regarding the Russia-Ukraine war (November 23).[25] Looking ahead, global oil prices will be chiefly driven by increased production by major oil producers but are expected to rise gradually from the second half of 2026 alongside improving global economic growth. Regarding the future oil price trajectory, downside risks include additional supply expansions by major oil producers, while upside risks include increased strategic petroleum reserve purchases by China.

Global oil prices fluctuate around low/mid-USD 60s recently

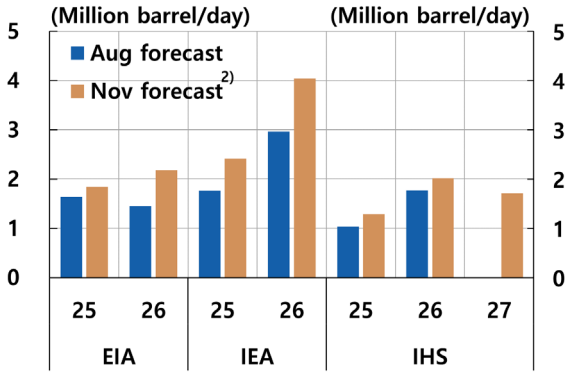
Figure 1.18. Global oil prices



Source: Bloomberg.

High excess global crude oil supply is expected

Figure 1.19. Global crude oil excess supply projections[1)]



Notes: 1) EIA and IEA projections are unavailable for 2027.
2) IHS figures are based on October projections.
Sources: EIA, IEA, IHS Markit.

[24] As the Trump administration's initial sanction against Russia, the United States froze the assets of Russia's largest petroleum companies held within the jurisdiction of the U.S. in an attempt to force an end to the Russia-Ukraine war, while warning of secondary sanctions against international financial institutions dealing with these entities.

[25] The United States and Ukraine announced in a joint statement that they had engaged in productive discussions on a draft agreement to end the Russia-Ukraine war.

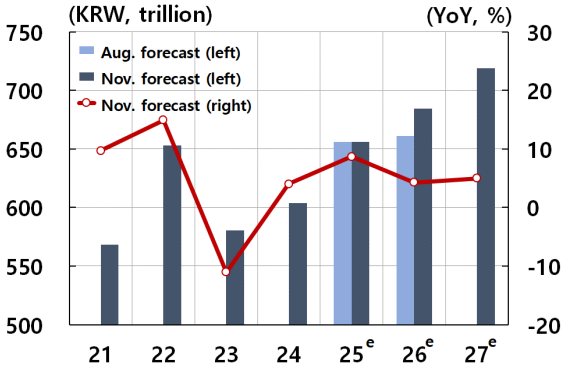
Korea's Economy

1.9. The central government's consolidated fiscal expenditure is expected to continue expanding.[26]

Fiscal expenditure rose sharply in the third quarter, driven by the swift rollout[27] of the consumption coupon program. With the tax revenue shortfall holding at a modest KRW 2.2 trillion (September 25 projection by Ministry of Economy and Finance),[28] fiscal spending is projected to remain solid through the fourth quarter. Upside risks to the projection include stronger-than-expected semiconductor earnings and an improvement in tax revenue conditions[29] on the back of economic recovery. In contrast, downside risks include a potential decline in corporate tax receipts as a growing share of export firms' production and profits shifts to local subsidiaries in the United States. The managed fiscal balance deficit is projected to remain in the low four-percent range as a share of GDP in 2026 onward.

Central government fiscal expenditure continues to expand

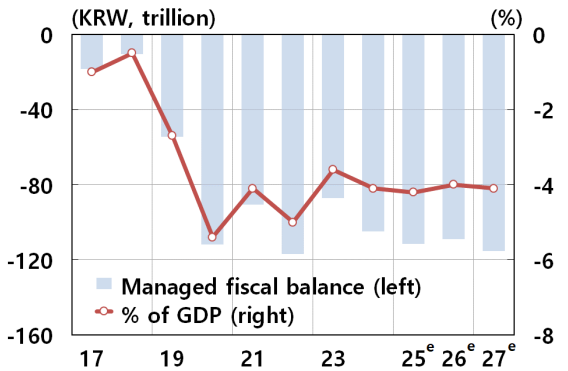
Figure 1.20. Outlook for consolidated fiscal expenditure[1)]



Note: 1) Figures for 2025 include the supplementary budget, with those for 2026 based on the government budget bill and those for 2027 based on the National Fiscal Management Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

The managed fiscal balance deficit ratio remains in the low 4% range

Figure 1.21. Outlook for managed fiscal balance[1)]



Note: 1) Figures for 2025 to 2027 are projections by the Ministry of Economy and Finance.
Source: Ministry of Economy and Finance.

[26] Total expenditure growth rate: 3.5% in 2026 (relative to 2025 budget, including the second supplementary budget) and 5.0% in 2027 (relative to 2026 government budget bill)

[27] The first consumption coupon program (KRW 9.3 trillion; applications from July 21 to September 12, usage deadline of November 30) saw its full national expenditure of KRW 8.1 trillion disbursed to local governments on July 15.
The second program (KRW 4.6 trillion; applications from September 22 to October 31, usage deadline of November 30) had KRW 3.5 trillion of its KRW 4.0 trillion national expenditure transferred to local governments on August 28.

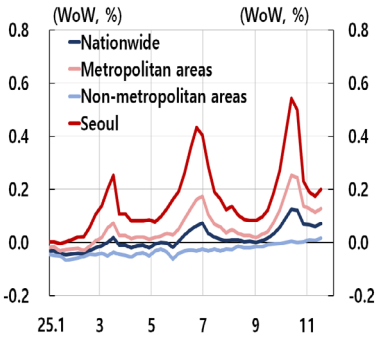
[28] Tax revenue(KRW trillion): +29.8 in 2021 → -0.7 in 2022 → -56.4 in 2023 → -30.8 in 2024 → -2.2 in 2025e)

[29] The National Assembly Budget Office projected on October 31 that 2026 tax revenue will exceed the budgeted amount by KRW 5.9 trillion due to strengthening economic recovery, led by income tax (KRW +4.0 trillion).

1.10. Housing prices had re-accelerated in the Seoul metropolitan area but have moderated since the government announced its stabilization package. In non-Seoul metropolitan regions, the pace of decline gradually eased and recently turned positive. In the Seoul metropolitan area, housing prices showed signs of overheating from September, particularly in formerly unregulated high-demand areas, but the upward momentum weakened after October 15, as the stabilization package included measures such as the expansion of regulated zones.[30] In non-Seoul metropolitan areas, the downturn began to soften after June and has recently shifted to an increase. Meanwhile, *jeonse* (lump-sum deposit leases) and monthly rents have also seen faster increases recently.

Apartment prices increased sharply but have eased

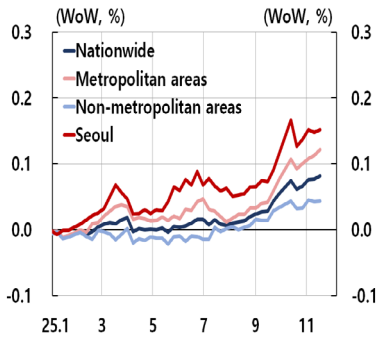
Figure 1.22. Weekly apartment sales price index[1)]



Note: 1) Weekly trends.
Source: Korea Real Estate Board.

***Jeonse* prices accelerated from September**

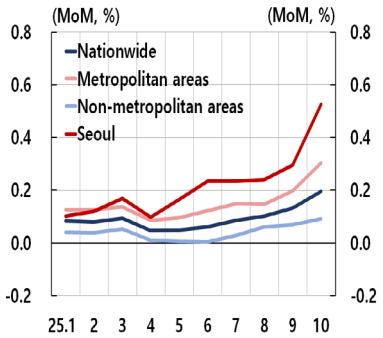
Figure 1.23. Weekly apartment *jeonse* price index[1)]



Note: 1) Weekly trends.
Source: Korea Real Estate Board.

Monthly rents are gradually rising

Figure 1.24. Monthly rent price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

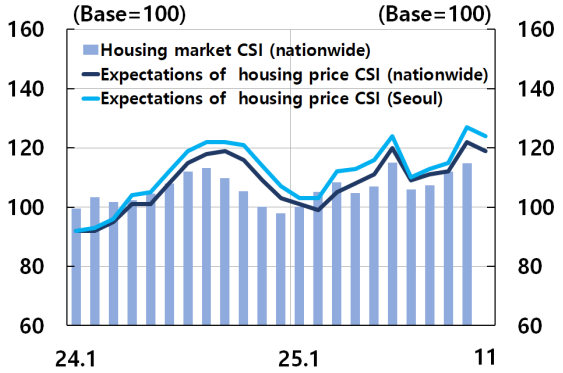
1.11. Looking ahead, the current overheating in housing prices is expected to ease under the stabilization package. However, concerns about reduced new housing supply may continue to pose upside pressure. In Seoul metropolitan area, transactions are likely to slow and the pace of recent sharp price increases to moderate, reflecting the expansion of regulated areas and additional tightening of household loan regulations. Nonetheless, even amid weak transaction activity, concerns over new supply shortfalls are expected to remain an upside risk to prices. In Non-metropolitan areas, price increases may continue in areas with relatively favorable living conditions, supported by regulations concentrated in the Seoul metropolitan area and ongoing government support measures.[31]

[30] The housing market stabilization package (October 15, 2025; jointly announced by relevant ministries) includes: (i) the additional designation of Adjustment Target Areas, Speculative Overheating Districts, and Land Transaction Permission Zones covering all 25 districts of Seoul and 12 areas in southern Gyeonggi-do; (ii) tighter household credit(mortgage) regulations; (iii) strengthened oversight and enforcement of real-estate transactions; (iv) plan to review and rationalize the real-estate tax system; (v) expedited implementation of the September 7 housing supply measures.

[31] The government's August 14 package to strengthen construction investment in Non-metropolitan area is designed to support local housing demand and improve supply-side conditions.

Expectations for higher housing prices surged and then eased slightly

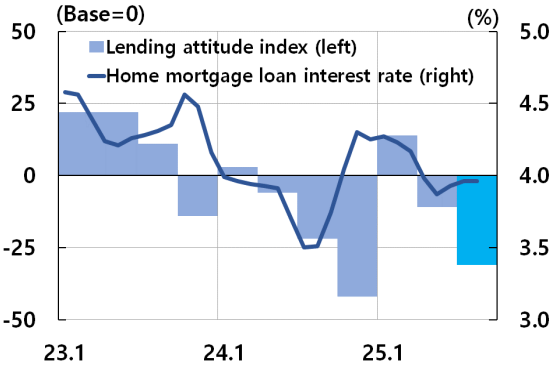
Figure 1.25. Expectations of housing prices CSI and housing market CSI



Sources: Bank of Korea, Korea Research Institute for Human Settlements.

Home mortgage loan interest rates remain unchanged, and lending attitudes tighten

Figure 1.26. Lending attitude index[1] and home mortgage loan rate

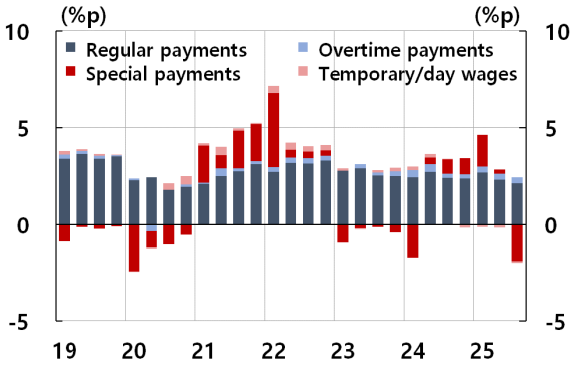


Note: 1) The positive and negative lending attitude indices for household loans (primarily housing loans) indicate the easing and tightening of lending attitudes of financial institutions, respectively. Figures for Q4 2025 are projections.
Source: Bank of Korea.

1.12. Nominal wage growth has been showing a sluggish trend in line with the previous projections overall. In July and August, nominal wages rose by just 0.3% year-on-year, reflecting a substantial temporary decline in special payments. In July and August, special payments for regular workers declined sharply by 18.0% year-on-year, as special payments for Chuseok holiday were pushed back and slower-than-normal wage agreement occurred at certain automobile and parts manufactures. However, the growth rate of regular payments (2.6% in July and August) halted its slowdown and rebounded moderately after July, led by the services sector as labor demand weakness eased.

Nominal wage growth rate in July and August slowed due to a temporary decline in special payments

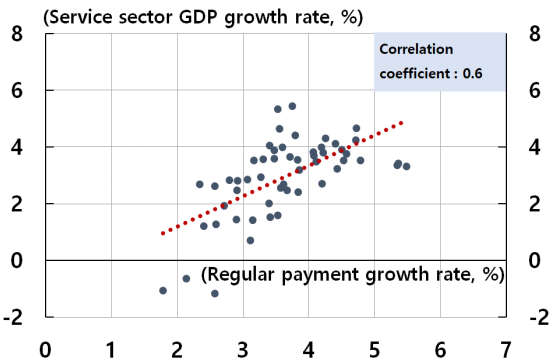
Figure 1.27. Nominal wage growth rate contributions[1]



Note: 1) Figures for Q3 2025 are based on data for July and August.
Source: Ministry of Employment and Labor.

Regular payment growth rate is highly correlated to the services sector

Figure 1.28. Services sector conditions and regular payment growth rate[1]

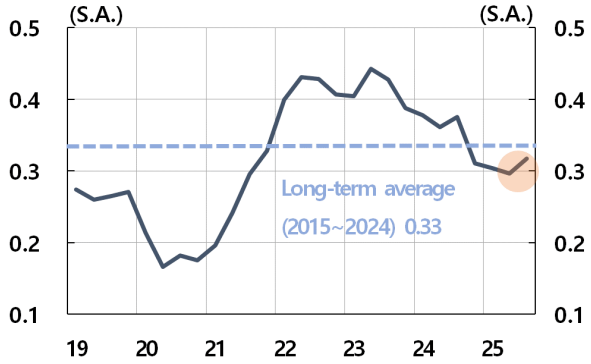


Note: 1) Data span Q1 2012 to Q2 2025.
Sources: Ministry of Employment and Labor, Bank of Korea.

1.13. The nominal wage growth rate is projected to remain subdued in 2025, reflecting deteriorating corporate profitability in the first half, and recover from 2026. While the growth rate of regular payments is likely to recover, supported by improving domestic demand, the pace of recovery is expected to be gradual due to a rising labor force participation rate. Labor market tightness, which is closely tied to trends in regular payments, rose from June onward but has stalled since September. Special payments declined temporarily in July and August due to delayed slow collective bargaining agreements. As these issues are resolved, a short-term rebound may occur in September and October. In the second half as a whole, however, special payments are projected to contract amid weakening corporate profitability. In 2026, the nominal wage growth rate is expected to trend upward, supported by improved corporate profitability—particularly in the IT sector—and strengthening conditions in the services sector.

Labor market tightness (job vacancy rate/unemployment rate) rose moderately

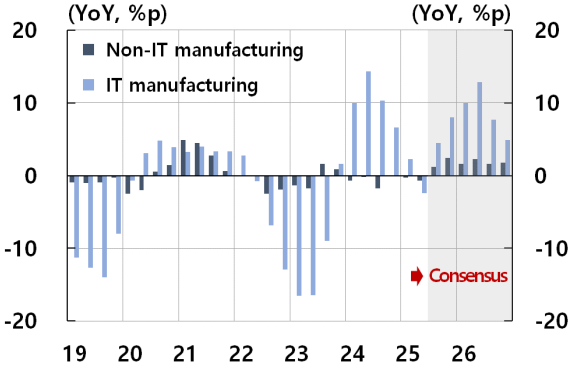
Figure 1.29. Labor market tightness



Sources: Ministry of Employment and Labor, Ministry of Data and Statistics.

Manufacturing sector profitability deteriorated in the first half of 2025 before recovering

Figure 1.30. Operating income-to-sales ratio in manufacturing sector

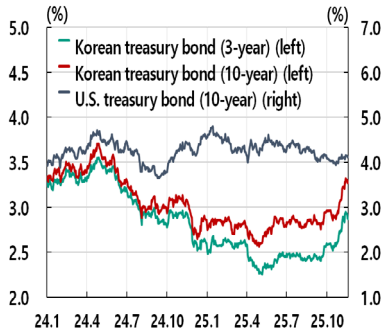


Source: FnGuide (as of November 2025).

1.14. Since the August outlook, long-term market interest rates have risen sharply, as expectations for interest rate cuts weakened amid strengthening prospects for economic improvement and heightened caution over financial stability. The yield on three-year treasury bonds has climbed substantially, as concerns over financial stability intensified amid an overheated housing market in the Seoul metropolitan area since mid-September, elevated exchange rate volatility, and growing expectations for improved economic conditions following favorable third-quarter GDP growth. Credit spreads on three-year corporate bonds narrowed amid solid investment demand but widened in November due to rising interest rates.[32] KOSPI stock prices rose to a record high, driven by the semiconductor sector boom, improved corporate earnings at major domestic firms, and resolution of Korea-U.S. tariff negotiations. However, in November, stock prices saw a sizable pullback, driven by concerns over global AI sector overvaluation and profit-taking following the sharp prior rise. The KRW/USD exchange rate has risen significantly, driven by factor such as an expansion in overseas investment by residents.

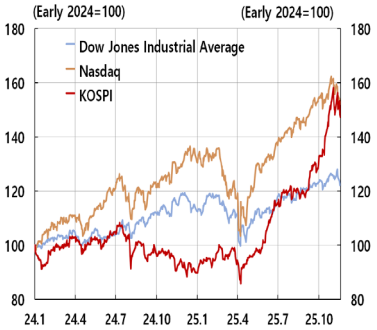
Long-term interest rates, stock prices, and KRW/USD exchange rates all rise significantly

Figure 1.31. Korea and U.S. treasury bond yields



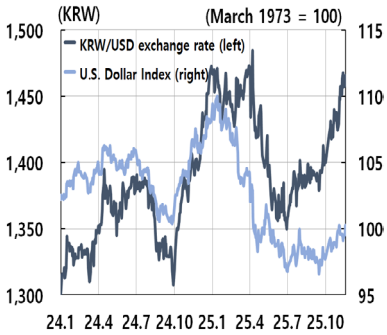
Sources: Bank of Korea, Bloomberg.

Figure 1.32. Stock prices in Korea and the U.S.



Sources: Bank of Korea, Bloomberg.

Figure 1.33. KRW/USD and U.S. Dollar Index



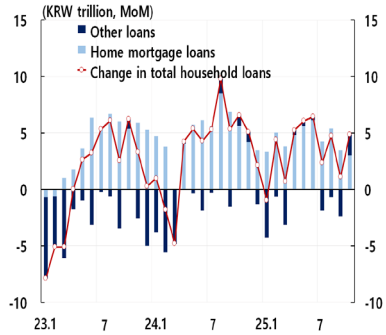
Sources: Bank of Korea, Bloomberg.

[32] ► Corporate bond credit spread (AA-, 3-year, bp): 68 at end of Dec. 2024 → 46 at end of Aug. 2025→ 44 at end of Sep. → 40 at end of Oct. → 45 on Nov. 19 (long-term average: 51)
► Corporate bond credit spread (A-, 3-year, bp): 168 at end of Dec. 2024 → 159 at end of Aug. 2025→ 157 at end of Sep. → 153 at end of Oct. → 158 on Nov. 19 (long-term average: 155)

1.15. Household loans continued to decelerate under tighter macroprudential policies, while corporate funding expanded gradually. In the third quarter, household loan growth moderated across financial institutions, particularly for home mortgage loans for living purposes and other loans, following the contraction of lending limits[33] under the June 27 measures and tighter lending attitudes in the financial sector. In October, housing-related loans remained subdued amid lower housing transaction volumes[34] in July and August, while other loans—mainly unsecured loans—rose significantly due to increased investment in domestic and overseas stocks, front-loading of housing transactions ahead of the October 15 measures, and funding demand before the extended Chuseok holiday. Banks' corporate loans rose gradually, driven by SME lending, as banks' strategies to expand corporate loans in the second half—amid contracting household loan management targets—aligned with corporate demand for funds. Direct financing continued on a trend of net borrowing, mainly through corporate bonds, to meet solid investment demand, though funding volumes remained modest due to limited demand for large-scale facility investments.

Household loans continue to slow

Figure 1.34. Change in household loans[1)2)]



Notes: 1) Deposit-taking banks and non-bank financial institutions.
2) Excluding policy loans from the Housing and Urban Fund (own resources).
Source: Bank of Korea.

Banks' corporate loans increase gradually

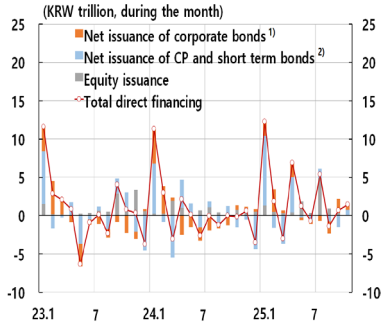
Figure 1.35. Change in banks'[1)] corporate loans to companies



Note: 1) Based on loans at deposit-taking banks.
Source: Bank of Korea.

Corporate direct financing shows slight net borrowing, mostly through corporate bond issuance

Figure 1.36. Direct corporate financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[33] Under the June 27 measures, home mortgage loans for housing purchases in the Seoul metropolitan area and for living purposes were capped at KRW 600 million and KRW 100 million, respectively, regardless of LTV. Unsecured loans were limited to within annual income, regardless of DSR.

[34] Affected by the government's real estate measures, housing transaction volumes contracted substantially in July and August, but rose again in September and October as the housing market in the Seoul metropolitan area resumed overheating.
► Seoul apartment transaction volume (1,000 units, based on contract rate): 7.6 in May 2025 → 11.3 in Jun. → 4.1 in Jul. → 4.3 in Aug. → 8.6 in Sep. → 9.0 in Oct.^{e}
► Nationwide housing transaction volume (10,000 unit, based on contract date): 5.7 in May 2025 → 6.6 in Jun. → 4.5 in Jul. → 4.4 in Aug. → 5.8 in Sep. → 5.9 in Oct.^{e}

Main Premises of the Baseline Outlook

Global economic growth rate (%): 3.3 in 2024 → 3.0 (up 0.2) in 2025 → 2.9 (up 0.2) in 2026 → 3.1 (new) in 2027

The **global economic growth** forecasts for 2025 and 2026 have been revised upward by 0.2 percentage points each, reflecting eased tariff and trade uncertainty, expansionary fiscal policies in major economies, and the global AI investment boom.

The growth forecasts for **the United States** for 2025 and 2026 have been raised by 0.2 percentage points each, reflecting easing monetary and fiscal policies and expanded investment in AI infrastructure. In **the euro area**, the 2025 projection has been adjusted upward by 0.2 percentage points, reflecting more-robust-than-expected real economic indicators, while the 2026 projection remains unchanged. The growth forecasts for **China** for 2025 and 2026 have been increased by 0.2 percentage points and 0.3 percentage points, respectively, supported by favorable exports to non-U.S. regions and eased tensions with the United States.

Global trade growth (%): 3.5 in 2024 → 3.6 (up 1.0) in 2025 → 2.4 (unchanged) in 2026 → 3.0 (new) in 2027

The global trade growth forecasts for 2025 have been revised upward by 1.0 percentage point, reflecting more-favorable-than-expected trade performance due to front-loading demand ahead of tariffs and trade diversification. The global trade growth forecasts for 2026 remain unchanged.

Global oil prices (Brent crude, USD/barrel): 80 in 2024 → 69 (up 1) in 2025 → 63 (unchanged) in 2026 → 65 (new) in 2027

The global oil price forecasts for 2025 have been raised by USD 1, reflecting U.S. sanctions on Russia, despite the downward pressure from expanded supply by major oil-producing countries. The forecasts for 2026 remain unchanged.

	2024	2025				2026e)				2027e)
	Year	H1	H2e)	Yeare)1)		H1	H2	Year1)		Year
Baseline assumptions of the outlook										
Global economic growth (%)2)	**3.3**	3.4	2.7	**3.0**	[+0.2]	2.8	3.0	**2.9**	[+0.2]	**3.1**
• United States	**2.8**	2.1	1.8	**1.9**	[+0.2]	2.2	2.1	**2.1**	[+0.2]	**2.0**
• Euro area	**0.9**	1.4	1.2	**1.3**	[+0.2]	1.0	1.3	**1.1**	[-]	**1.4**
• China	**5.0**	5.3	4.6	**4.9**	[+0.2]	4.3	4.4	**4.4**	[+0.3]	**4.3**
• Japan	**-0.2**	1.9	0.6	**1.2**	[+0.2]	-0.3	1.2	**0.5**	[-]	**0.8**
Global trade growth (%)2)	**3.5**	4.7	2.7	**3.6**	[+1.0]	1.8	3.0	**2.4**	[-]	**3.0**
Brent crude oil price (USD/barrel)3)	**80**	71	67	**69**	[+1]	62	63	**63**	[-]	**65**

Notes: 1) Figures in [ ] indicate change from assumptions as of August 2025.
2) Year-on-year.
3) By period average.

Sources: Statistical offices in each area, Bloomberg, Bank of Korea.

2. Macroeconomic Outlook for Korea

Economic Growth

2.1. The Korean economy is projected to grow by 1.0% in 2025 and 1.8% in 2026, surpassing previous forecasts. This upward revision is underpinned by a robust IT upcycle and a recovery in domestic demand, which are expected to cushion the impact of U.S. tariffs. In the **first half of 2025**, economic activity remained sluggish due to weakened economic sentiment amid rising internal and external uncertainties, alongside a sharp contraction in construction investment. In the **third quarter**, growth accelerated to 1.2% over the previous quarter, driven by a rapid recovery in consumption resulting from improved sentiment and consumption coupons. While exports to the U.S. declined due to tariff impacts, semiconductor exports performed better than anticipated, bolstering overall growth. In the **fourth quarter**, growth is expected to decelerate sharply to 0.2%, reflecting the base effect following the prior quarter's robust expansion and a slowdown in exports, particularly for tariff-impacted goods. Consequently, the annual growth for **2025** is projected at 1.0%, slightly above the August forecast of 0.9%.

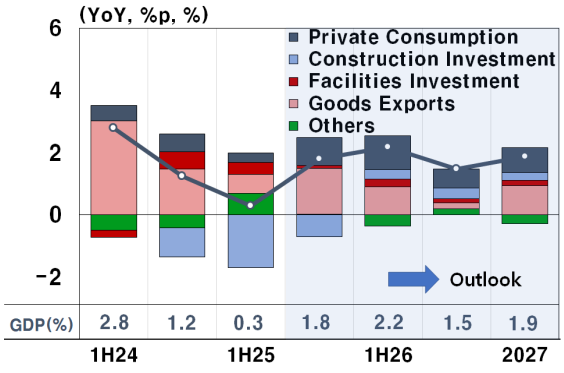
* Key upward revision factors include the global semiconductor upcycle(contribution: appx. +0.05%p), an increase in inbound tourists and upward revisions to Q2 preliminary figures (appx. +0.05%p).

In **2026**, growth is expected to strengthen, centered on domestic demand, as the recovery in consumption continues and the slump in construction eases. While overall export growth may slow due to U.S. tariffs, exports of semiconductors are likely to maintain a solid trend. As a result, annual GDP growth for 2026 is projected at 1.8%, exceeding the prior forecast of 1.6%. In **2027**, GDP growth is expected to rise to 1.9%, supported by a sustained favorable trend in domestic demand and an acceleration in exports growth driven by improvements in the global economy.

* The upward revision for 2026 reflects the global semiconductor upcycle (appx. +0.1%p), easing of uncertainty following APEC and postponed imposition of semiconductor tariffs in the baseline assumption (appx. +0.1%p), fiscal expansion (appx. +0.1%p), and easing of U.S.-China trade tensions (appx. +0.05%p), partly offset by the slow recovery of the construction sector (appx. -0.15%p).

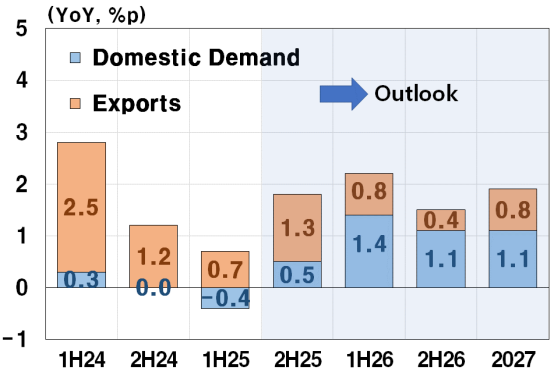
Exports are likely to slow gradually, while growth will expand, driven by domestic demand such as consumption.

Figure 2.1. Contributions to GDP growth by expenditure



Source: Research Department.

Figure 2.2. Net contributions of domestic demand and exports to growth[1)]



Note: 1) Estimated by excluding impact on imports.
Source: Research Department.

Growth for 2026 is projected to be 1.8%, revised upward by 0.2 percentage points from the August forecast.

Figure 2.3. Revision to GDP growth projection for 2026 by main driver

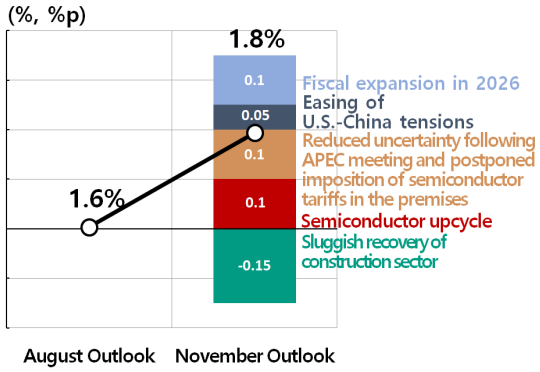
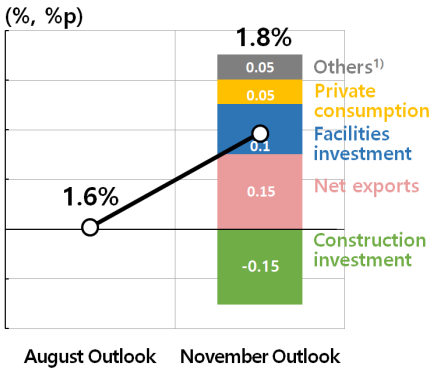


Figure 2.4. Revision to GDP growth projection for 2026 by expenditure

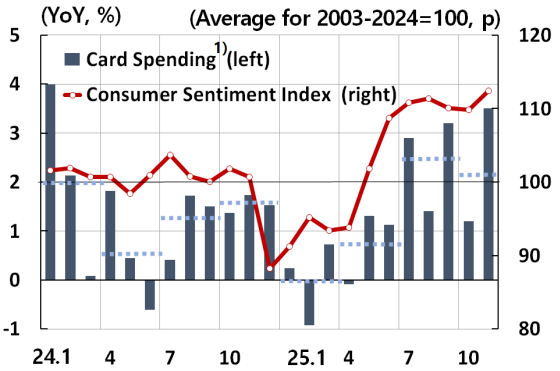


Note: 1) IPP investment, etc.

2.2. By sector, private consumption is projected to sustain a moderate recovery, supported by improvements in real household income and expansionary fiscal policy. Private consumption posted a significant improvement in the third quarter, led by durable goods and contact-intensive services, on the back of improved consumer sentiment and stimulus measures such as consumption coupon programs. The recovery momentum in private consumption is forecast to decelerate temporarily in the last quarter of 2025, due to base effects and the dissipating boost from new product launches. From 2026 onward, however, private consumption is projected to continue its moderate recovery, as improved corporate earnings and expansionary fiscal policy translate into higher real household income. However, the structural decline in the household propensity to consume[35], driven by demographic shifts and accumulated household debt, remains a constraint on the recovery in consumption. Taking these factors into account, Private consumption is expected to grow by 1.3% in 2025 and 1.7% in 2026 and 2027 respectively.

Private consumption improved significantly amid favorable consumer sentiment

Figure 2.5. Consumer sentiment and card spending



Note: 1) Based on real terms. Figures for November cover November 1 to 21. Dotted lines indicate quarterly averages.
Source: Bank of Korea.

Structural decline in the propensity to consume constrains consumption recovery

Figure 2.6. Long-term trend of household savings rate[1)2)]



Notes: 1) Based on households' net savings rate.
2) Blue dotted line indicates averages of corresponding periods, while red dotted line indicates a linear trend from 2010 to 2019.
Source: Bank of Korea.

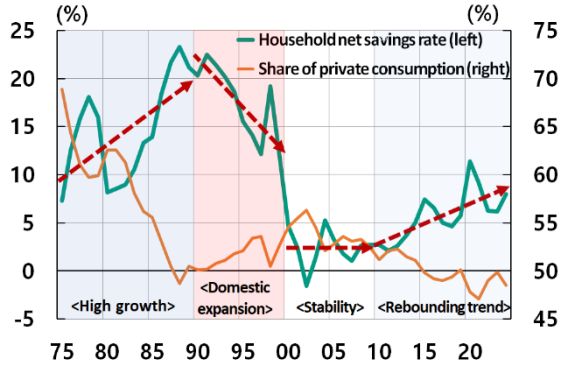
[35] For further details, please refer to "FYI2. Rising Household Savings Rate: Drivers and Implications".

FYI 2 **Rising Household Savings Rate: Drivers and Implications**

Current Status of Korea's Household Savings Rate

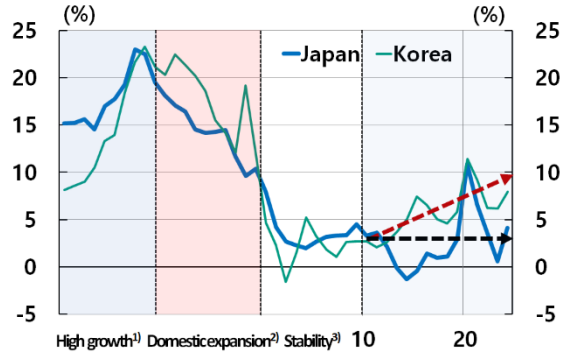
The long-term trend of Korea's household savings rate[36] can be broadly divided into four distinct periods since the mid-1970s (Figure 1). First, during the high-growth period from the 1970s to mid-1980s, investment in basic infrastructure, including manufacturing facilities and social overhead capital (SOC), expanded under the government's export-led growth strategy, leading to a decline in the share of private consumption and an upward trend in the household savings rate. Second, during the period of domestic demand expansion from the 1990s to early 2000s, driven primarily by rising private consumption alongside improvements in household income levels, the household savings rate began to trend downward.[37] This shift from an upward trend during the high-growth period to a subsequent decline was also observed in Japan, which followed a similar export-led growth trajectory (Figure 2). Third, during the 2000s, the household savings rate remained largely stable at around the mid-2% level, although it exhibited notable volatility in the wake of the 2003 credit card crisis. Fourth, **from the 2010s—in the aftermath of the global financial crisis—the household savings rate has turned toward an upward trajectory, notwithstanding some year-to-year volatility. The household savings rate of 7.9% recorded in the first half of 2025 remains consistent with the upward trend observed during the pre-pandemic period (2010-2019).**

Figure 1. Long-term trend of household savings rate



Source: Bank of Korea.

Figure 2. Trends of household savings rate: Korea and Japan



Notes: 1) 1980-1989 for Korea and 1960-1979 for Japan.
2) 1990-1999 for Korea and 1980-1999 for Japan.
3) 2000-2009 for Korea and Japan.
Sources: Bank of Korea, Horioka (2024).

[36] For the purposes of this analysis, the household savings rate refers to the household net savings rate as defined in the national accounts.

[37] During this period, the expansion of public pension membership and improved household lending conditions also contributed to rising consumption and the decline in the savings rate.

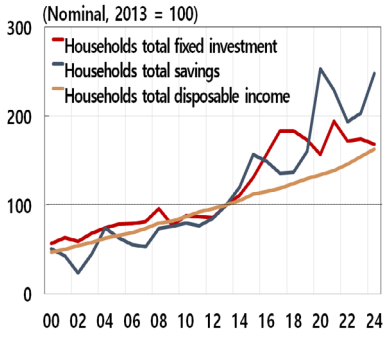
Drivers for the Upward Trend of the Household Savings Rate from the 2010s

The structural rebound of the household savings rate since the 2010s can be attributed mainly to three drivers: (i) the expansion of households' asset investments (target savings); (ii) demographic shifts associated with population aging (life-cycle savings); and (iii) transition to a low-growth period coupled with rising expected remaining lifetime (precautionary savings).

① Expansion of households' asset investments (target savings)

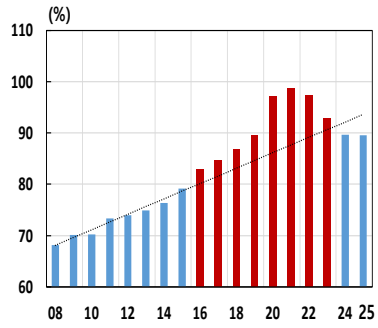
The upward trend of the household savings rate during the 2010s began around 2013. Prior to 2020, increased household investments in real estate served as a key factor elevating the propensity to save. From 2013 to 2017, construction investment surged, particularly in dwellings[38], due to government stimulus measures such as the easing of real estate regulations. During this period, households increased their savings to finance these investments (active savings), thereby elevating the overall savings rate[39] (Figure 3). In the early phase (2013 to 2015), household debt continued to grow at a pace broadly in line with the trend observed from 2008 to 2012. From 2016 onward however, household debt growth accelerated as households began moving into newly completed dwellings built under construction projects initiated in 2013 and 2014, coupled with declining market interest rates (Figure 4). From 2018 onward, rising real estate prices exerted a notable influence on savings behavior. As housing prices surged, particularly in the Seoul metropolitan area (Figure 5), households accelerated their housing purchases through expanded borrowing. Consequently, household debt, predominantly in the form of long-term mortgage loans, accumulated rapidly, while savings earmarked for debt repayment (passive savings) increased sharply as well.

Figure 3. Households' total fixed investment,[1] total savings, and total disposable income



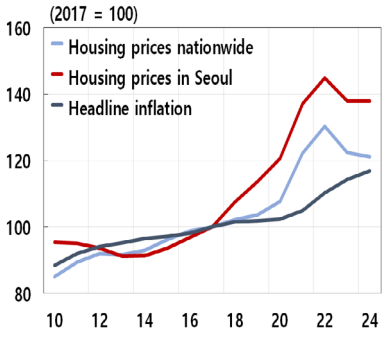
Note: 1) Fixed assets consist predominantly (>90%) of construction assets.
Source: Bank of Korea.

Figure 4. Household debt-to-GDP ratio[1)2)]



Notes: 1) Dotted line indicates the linear trend from 2008 to 2012.
2) 2025 figure is based on Q1 data.
Source: BIS.

Figure 5. Housing price index: nationwide and Seoul

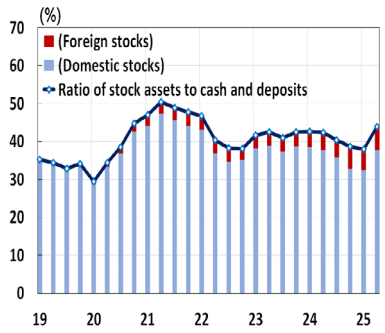


Sources: Ministry of Data and Statistics, KB Real Estate.

[38] The rate of increase in construction investment as a share of GDP declined to an annual average of 3.2% from 2010 to 2012, but rose significantly to an annual average of 6.6% from 2013 to 2017.
[39] The household net savings rate more than doubled, from an average of 2.4% from 2010 to 2012 to 5.5% from 2013 to 2017.

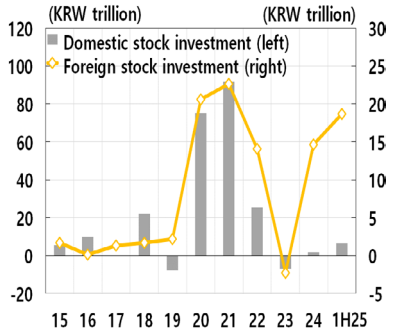
Since 2020, the equity market rally has also served as a factor driving up the household saving rate. During Pandemic, abundant liquidity inflows led to the involuntary accumulation of household savings amid limited consumption opportunities due to lockdown measures. Over the same period, the upward trend in real estate prices strengthened further, accompanied by a steep rally in the stock market. As a result, even those aged 60 or older—who had previously shown relatively low participation in equity markets—actively purchased stocks, causing the number of individual investors to surge[40] and further elevating households' propensity for asset investment (Figure 6). In particular, since 2020, the boom in the U.S. stock market, together with improved access to overseas investment, has led to a rapid increase in the number of individual investors in foreign equities (so-called *seohakgaemi*). This, in turn, led to a substantial outflow of household funds into overseas equity markets (Figure 7), accompanied by a marked rise in the share of overseas equities in households' financial asset portfolios.[41]

Figure 6. Ratio[1] of households' stock assets to safe assets (cash and deposits)



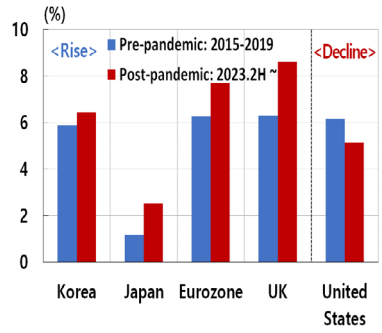
Note: 1) Based on end-of-period balance data.
Source: Bank of Korea.

Figure 7. Net inflows of households' stock investment funds into domestic and overseas stocks



Source: Bank of Korea.

Figure 8. Household savings rate trends[1] in major countries before and after the pandemic



Note: 1) Comparisons are limited due to differing national accounts standards across countries.
Sources: Bank of Korea, BEA, ONS, CAO, Eurostat.

As rates of return on asset investments rose significantly, concerns—commonly referred to as "fear of missing out" (FOMO)— intensified that missing opportunities for asset price appreciation could result in a substantial reduction in lifetime income. This elevated the opportunity cost of current consumption and amplified the intertemporal substitution effect. Consequently, household behavior shifted toward reducing present consumption and increasing savings.[42] Furthermore, the household debt accumulated in the course of asset expansion increased the burden of principal and interest repayments, thereby exerting structural upward pressure on the household savings rate.

[40] Number of individual shareholders of domestic listed corporations (year-end, 10,000 persons; share of those in their 60s or older in parentheses): 470 (11.8) in 2015 → 911 (19.3) in 2020 → **1,410 (21.3) in 2024**

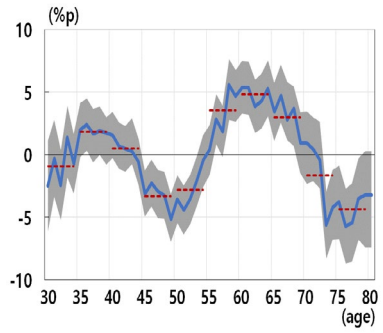
[41] Overseas stocks' (shares issued by non-residents) share of households' net financial assets (balance, end of period, %): 0.6 in 2019 → 1.7 in 2020 → 2.9 in 2021 → 2.2 in 2022 → 3.1 in 2023 → 4.8 in 2024 → **4.8 in first half of 2025**

[42] The global spread of FOMO-driven investment sentiment has been associated with record highs in major stock markets, as reported by the *Financial Times* in September 2025. This dynamic is likely one factor behind the higher household savings rates observed in many countries after the pandemic compared with the pre-pandemic period (2015 to 2019) (Figure 8).

② Demographic shifts associated with population aging (life-cycle savings)

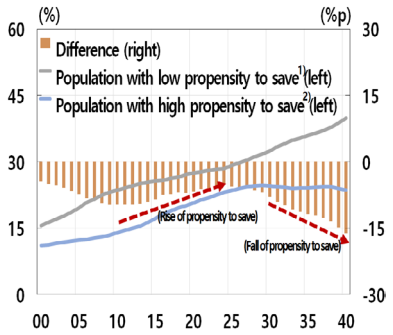
Population aging influences savings through an increase in expected remaining lifetime (level effect) and demographic shifts (composition effect). Regarding the composition effect, the economy-wide average household propensity to save varies according to the relative shares of age cohorts with a high and low saving propensity. The average household propensity to save (1 minus the average propensity to consume) is estimated to be low from the mid-40s to mid-50s—the period typically associated with education expenses based on household heads' ages—before rising sharply from the mid-50s to 60s during the period of pre-retirement preparation and then declining beyond the 70s[43] (Figure 9). **After the 2010s, as the baby boomer generation entered the pre-retirement preparation phase, the share of the population with a higher propensity to save has increased at an accelerated pace** (Figure 10). **Consequently, the economy-wide average household propensity to save from 2010 to 2025 has been subject to underlying upward pressure** (Figure 11). However, as population aging advances and the share of individuals aged 70 and above is expected to rise more rapidly, this demographic shift (composition effect) is expected to exert downward pressure on the household propensity to save. Japan, which experienced population aging ahead of Korea, also saw a decline in its household savings rate due to changes in demographic structure (Horioka, 2024).

Figure 9. Impact of age effect on average propensity to save[1)]



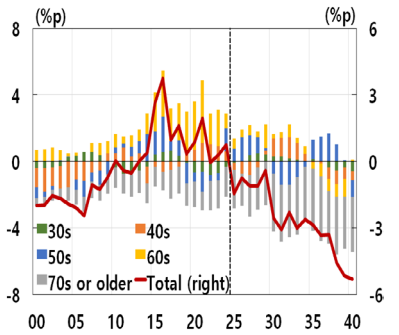
Note: 1) Shaded area indicates 95% confidence interval, with red dotted line showing five-year average.
Sources: Korean Labor & Income Panel Study, authors' own estimation.

Figure 10. Distribution of propensity to save by age group



Notes: 1) People in their mid-40s to mid-50s and 70s or older.
2) People in their mid-50s to 60s.
Source: Population estimates of Ministry of Data and Statistics.

Figure 11. Age composition effect on propensity to save by year



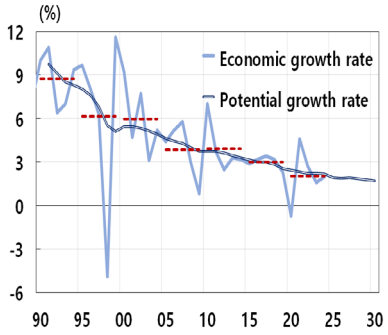
Sources: Korean Labor & Income Panel Study, authors' own estimation.

[43] This was estimated while controlling for variables that significantly influence household propensity to save, such as income and net assets, using the age-period-cohort (APC) methodology of Yang et al. (2008) and household microdata from the Korean Labor & Income Panel Study (2010 to 2023).

③ Transition to a low-growth period coupled with rising expected remaining lifetime (precautionary savings)

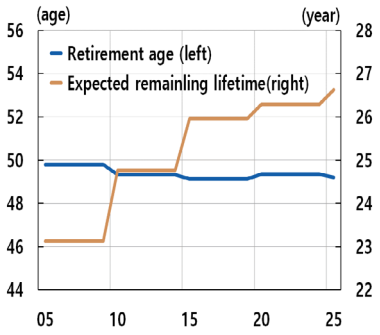
Korea's economic growth rate has been on a long-term downward trajectory, primarily due to the effects of population aging (Figure 12). In the absence of structural reforms, the potential growth rate is likely to continue to decline.[44] The transition to a low-growth era has weakened households' expectations for future income growth and at the same time, expected remaining lifetime is rising rapidly (level effect of population aging), while the extension of working-life duration fails to keep pace (Figure 13). **With declining expectations for future income growth and accumulating burdens of pre-retirement preparation, households' concerns over their future economic stability have intensified. As a result, precautionary savings appear to have increased on a sustained basis** (Figure 14).

Figure 12. Trends of Korea's economic growth rate and potential growth rate[1)]



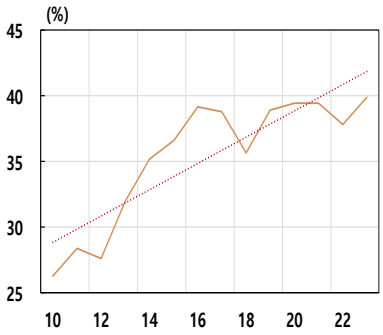
Note: 1) Red dotted line indicates five-year average.
Sources: Bank of Korea, OECD.

Figure 13. Expected remaining lifetime and retirement age[1)2)3)]



Notes: 1) Expected remaining lifetime for those aged 55 to 64.
2) Highest retirement age for those aged 55 to 64.
3) Based on five-year averages.
Source: Ministry of Data and Statistics.

Figure 14. Share of households with precautionary[1)] savings



Note: 1) Precautionary savings is defined as funds set aside for unexpected accidents or illnesses.
Source: Korean Labor & Income Panel Study.

[44] For details, refer to "Potential Growth of Korea and Its Outlook" (BOK Issue Note No. 2024-33).

Outlook and Implications

The upward trend of households' propensity to save since the 2010s is mainly attributable to structural drivers: the expansion of households' asset investments, demographic shifts associated with population aging, and transition to a low-growth period coupled with rising expected remaining lifetime. **Looking ahead, while population aging is expected to exert downward pressure on the household savings rate, this is likely to be offset by heightened uncertainty regarding future prospects—fueled by surging asset prices and the low-growth transition. As a result, the savings rate is unlikely to revert to a downward trend in the near term.**

This structurally elevated household savings rate is expected to persistently constrain improvements in private consumption. If weakening economic growth expectations lead households to increase their propensity to save, this could undermine the domestic demand base and, in turn, diminish the effectiveness of stimulus measures, thereby risking a self-fulfilling entrenchment of low growth.[45] In fact, during the 1990s in Japan, households' high propensity to save significantly constrained the effectiveness of consumption-boosting measures (Hsieh et al., 2010).

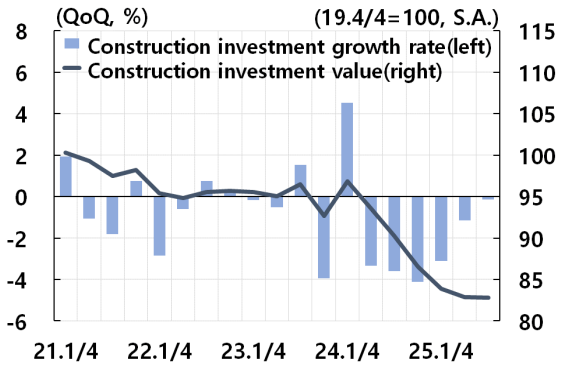
Therefore, fostering a virtuous cycle of domestic demand driven by private consumption requires policy efforts that go beyond short-term stimulus measures to focus on structurally strengthening the fundamentals of household consumption.

[45] This corresponds to the "paradox of thrift" as described by Keynes (1936).

2.3. Construction investment is expected to gradually ease its downturn, supported by improvements in construction orders and starts, as well as expanded infrastructure investment. In the third quarter, construction investment remained weak, particularly in the building sector. The pace of decline, however, slowed markedly, owing to the commencement of large-scale civil engineering projects. Looking ahead, the increase in construction orders and starts recorded in 2024 is expected to lead to a recovery in construction activity with a time lag, thereby alleviating the weakness in construction investment. In addition, solid investment in AI-related infrastructure and the expansion of SOC—with the central government's budget rising from KRW 25.4 trillion in 2025 to KRW 27.5 trillion in 2026—are expected to contribute to an improvement in construction investment. However, the pace of recovery is likely to remain gradual, constrained by the accumulation of unsold housing units in non-metropolitan areas and tighter real estate regulations. Accordingly, construction investment is forecast to decline by 8.7% in 2025, before increasing by 2.6% in 2026 and 1.9% in 2027.

Decrease in construction investment eased significantly in the third quarter

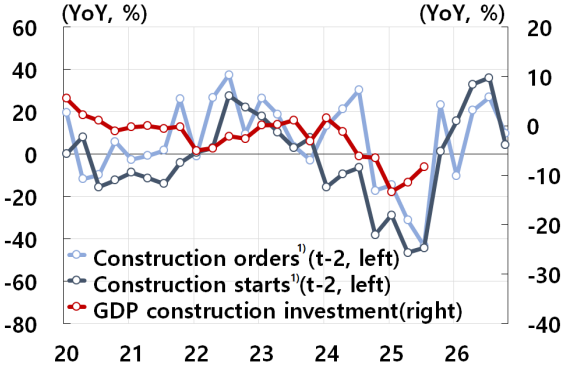
Figure 2.7. GDP construction investment



Source: Bank of Korea.

Increase in construction orders and starts will lead to easing of slump in construction investment

Figure 2.8. Construction orders and starts and construction investment



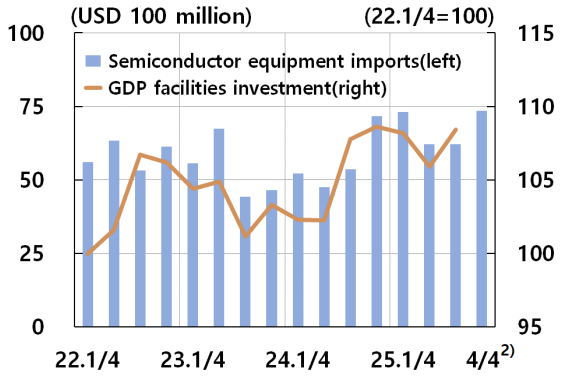
Note: 1) Construction starts are based on floor area, and construction orders on nominal amount.

Sources: Bank of Korea, Ministry of Data and Statistics, Ministry of Land, Infrastructure and Transport.

2.4. Facilities investment is projected to continue increasing overall, driven by expanding IT sector, including semiconductors, despite of a prolonged weakness in non-IT. In the third quarter, facilities investment turned positive from the prior quarter, led by machinery amid semiconductor firms' expanded investments for advanced production nodes. Looking ahead, while non-IT machinery investment will likely remain sluggish due to deteriorating profitability and restructuring, facilities investment growth will be driven by government's and major firms' expanded outlays in new growth sectors to secure AI competitiveness. Transport equipment investment is expected to remain subdued, mainly in corporate vehicles, due to base effects of individual consumption tax cuts in 2025. In summary, facilities investment is projected to grow by 2.6% in 2025, 2.0% in 2026, and 1.9% in 2027. Upside risks include major firms potentially advancing their large-scale, long-term investment plans and expanded government support for high-tech strategic industries, while downside risks stem from deepening non-IT sector weakness.

Investment in semiconductor equipment remains solid

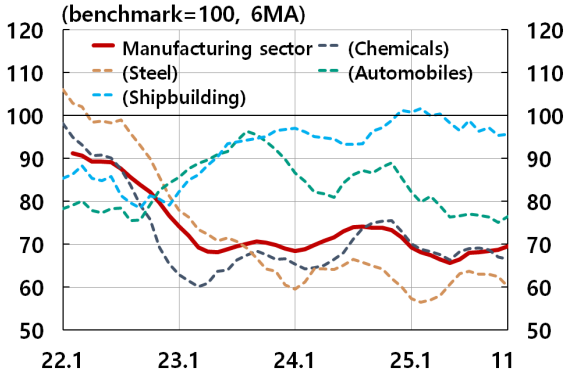
Figure 2.9. GDP facilities investment[1] and semiconductor equipment imports



Notes: 1) Real seasonally adjusted.
2) Estimated based on trend from October 1 to November 20.
Sources: Bank of Korea, Korea Customs Service.

Non-IT sector experiences weakening investment incentives due to prolonged slump

Figure 2.10. Non-IT manufacturing BSI[1]

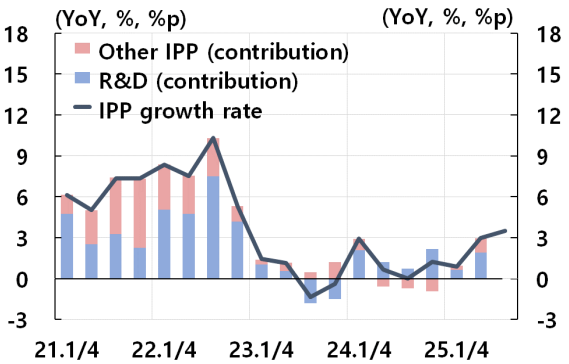


Note: 1) Based on future business condition index
Source: Bank of Korea.

2.5. Investment in intellectual property products (IPP) is projected to maintain a favorable growth trend, driven by firms' efforts to enhance technological competitiveness and expanded government support. In the third quarter, IPP investment continued its upward trend, with both corporate R&D expenditure and software investment recording solid growth. Looking ahead, IPP investment is projected to sustain its favorable momentum, as corporate R&D spending continues to increase to secure competitiveness in AI and other new growth areas, alongside expanded government support, including higher R&D budgets. In addition, investment in AI-related software is expected to increase steadily. Accordingly, IPP investment is projected to grow by 3.0% in 2025, 3.1% in 2026, and 2.5% in 2027.

IPP investment continues to recover, led by R&D

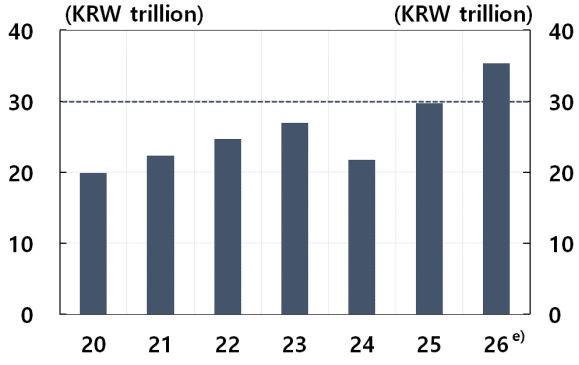
Figure 2.11. GDP IPP investment[1]



Note: 1) Sub-item figures for Q3 2025 remain undisclosed.
Source: Bank of Korea.

R&D budget for 2026 increases significantly

Figure 2.12. Government R&D budget[1]

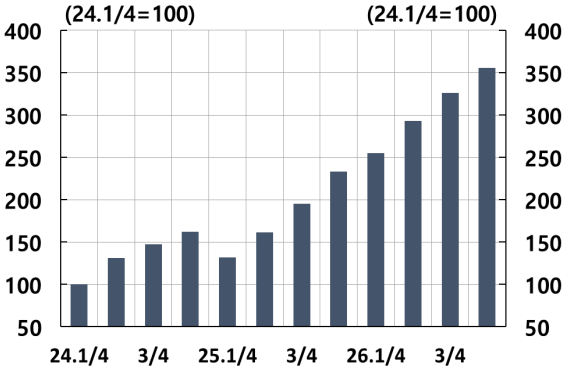


Note: 1) 2026: budget bill; 2025: includes supplementary budget; other years: based on execution results.
Sources: Open Fiscal Data, Ministry of Economy and Finance.

2.6. Goods exports, measured in real GDP terms, are projected to continue expanding, driven by stronger-than-expected global demand for semiconductors. However, the rate of growth will likely moderate due to the impact of U.S. tariffs. Goods exports rose 1.3% quarter-on-quarter in the third quarter, driven by ongoing semiconductor demand and increases in automobile and petrochemical exports, offsetting the initial effects of U.S. tariffs.[46] Goods exports will grow in 2026, led by semiconductors' strength in HBM/high-performance and general-purpose chips. However, expanding U.S. tariffs will constrain non-IT export growth, with semiconductor volume decelerating due to easing AI investments by global big tech companies. Goods export growth is forecast at 2.9% in 2025 and 1.4% in 2026. Export growth will rebound to 2.4% in 2027, backed by global economic improvement. **Goods imports, measured in real GDP terms, are forecast at +2.3% (2025), +2.4% (2026), and +2.7% (2027), backed by domestic demand recovery and export expansion.**

Semiconductor sector improves rapidly due to expanded AI investment

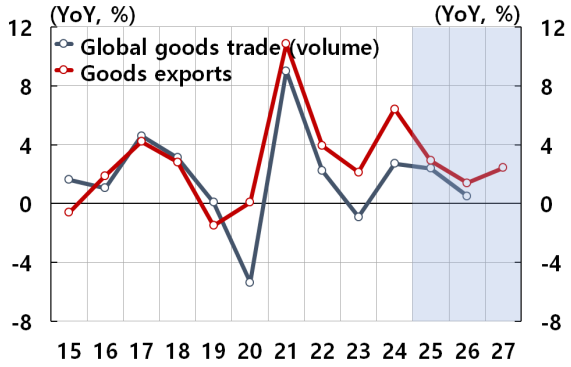
Figure 2.13. DRAM sales prospects of domestic major semiconductor firms



Source: Average of major IBs.

Export growth is projected to slow due to U.S. tariffs

Figure 2.14. Goods exports[1)] and global goods trade (volume)[2)]



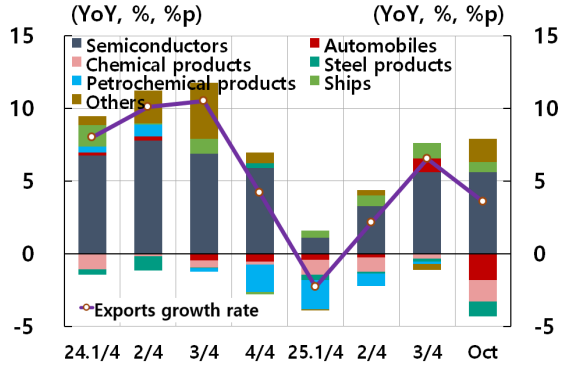
Notes: 1) Based on real GDP.
2) 2025-2026 figures are based on WTO projections.
Sources: WTO, Research Department.

[46] ► Exports to the U.S. (custom clearance basis, daily average, %, year-on-year in Q3): 2.5 in Q1 2025 → △5.3 in Q2 → △7.9 in Q3 → △7.8 in October

2.7. Exports on a customs clearance basis (nominal, year-on-year) are projected to grow faster than GDP goods exports, driven substantially by rising semiconductor prices. In the third quarter, exports grew 6.5% year-on-year, accelerating[47] due to sharp rises in semiconductor shipments and increased automobile exports to Europe and CIS. In October, exports continued to grow, supported by strong IT items such as semiconductors despite two fewer business days and sustained weakness in tariff-hit non-IT sectors such as steel and machinery. Looking at export projections by item in 2026, automobile exports are expected to decline due to rising overseas local production, though solid demand for eco-friendly vehicles (EVs, hybrids) will partially offset the impacts of U.S. tariffs. While sluggishness in petroleum product exports is expected to persist due to falling oil prices, the decline should moderate somewhat with refinery closures[48] in major countries. In contrast, semiconductor exports will grow faster due to persistent AI-driven excess memory demand. In 2027, non-IT exports may recover amid expanding global trade, while semiconductor exports could be limited to a level similar to that of 2026, slowing overall export growth. Looking ahead, exports on a customs clearance basis will be heavily influenced by U.S. tariff-covered items and levels as well as firms' strategies, such as enhancing competitiveness in the U.S. market and diversifying export markets. **Imports on a customs clearance basis (nominal, year-on-year) will likely decline in 2025, mainly due to lower oil prices that reduce raw material imports. In 2026, they are expected to increase, led by capital and consumer goods amid a recovery in domestic demand.**

Exports on a customs clearance basis remain strong, led by semiconductors and ships

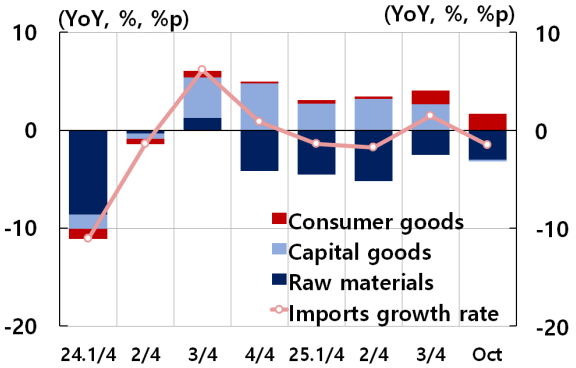
Figure 2.15. Contribution to exports on a customs clearance basis by item



Source: Korea Customs Service.

Raw material imports trend downward, while consumer goods imports accelerate

Figure 2.16. Contribution to imports on a customs-clearance basis by item



Source: Korea Customs Service.

[47] As semiconductor exports renewed their record-high performance in August and September, Q3 customs clearance-basis exports (USD 184.9 billion) hit a historic quarterly peak.

[48] Progressive closures of major U.S./European/Chinese refineries from early 2025 tighten global supply, boosting export conditions.

Economic Growth Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
GDP growth rate[1)]	**2.0**	0.3 <0.2>	1.8 <1.6>	**1.0** <0.9>	2.2 <2.0>	1.5 <1.3>	**1.8** <1.6>	**1.9**
• Private consumption	**1.1**	0.7 <0.7>	1.9 <2.0>	**1.3** <1.4>	2.2 <2.2>	1.3 <1.1>	**1.7** <1.6>	**1.7**
• Construction investment	**-3.3**	-12.2 <-12.4>	-5.3 <-4.3>	**-8.7** <-8.3>	2.5 <4.4>	2.7 <3.2>	**2.6** <3.8>	**1.9**
• Facilities investment	**1.7**	4.5 <4.8>	0.8 <0.3>	**2.6** <2.5>	2.8 <0.9>	1.3 <1.2>	**2.0** <1.0>	**1.9**
• IPP investment	**1.2**	1.9 <1.3>	4.0 <4.3>	**3.0** <2.9>	3.5 <3.5>	2.7 <1.6>	**3.1** <2.5>	**2.5**
• Goods exports	**6.4**	1.7 <1.6>	4.0 <3.3>	**2.9** <2.5>	2.3 <0.4>	0.5 <-0.7>	**1.4** <-0.1>	**2.4**
• Goods imports	**1.3**	1.7 <1.8>	2.9 <1.7>	**2.3** <1.8>	4.1 <1.7>	0.8 <0.3>	**2.4** <1.0>	**2.6**

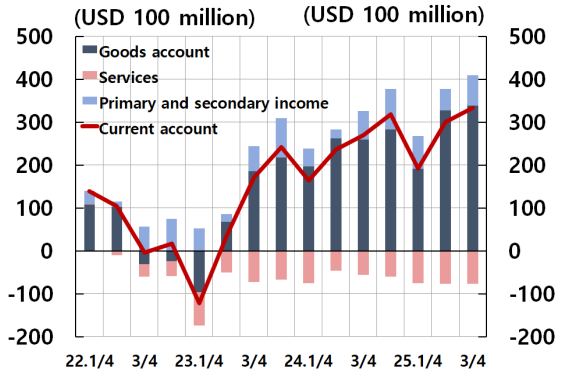
Note: 1) Figures in < > are projections as of August 2025.
Source: Research Department.

Current Account

2.8. The current account surplus is expected to grow further, driven by a continued increase in the goods account surplus amid a strong rebound in semiconductor exports fueled by brisk AI-related demand. In the third quarter of 2025, the current account recorded a surplus of USD 33.4 billion—the highest since the fourth quarter of 2020 (USD 33.7 billion)—reflecting stronger-than-anticipated export growth, particularly in the semiconductor sector.[49] In 2026, the goods account surplus is projected to increase further, supported by rising semiconductor prices driven by growing AI-related demand and an improvement in the terms of trade,[50] reflecting continued stability in global oil prices. The primary income account surplus is also expected to increase, as residents' overseas investment continues to grow, leading to higher dividend income. However, the services account deficit will likely widen moderately, reflecting a decline[51] in maritime freight charges amid sluggish goods trade and an increase in intellectual property royalties. As a result, the current account surplus is expected to reach USD 115.0 billion in 2025 and USD 130.0 billion in 2026. In 2027, the current account surplus is projected to decline to USD 120.0 billion.

Current account balance maintains a large surplus, led by the goods account

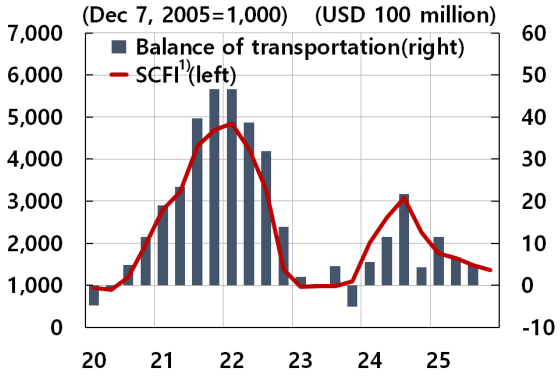
Figure 2.17. Current account balance



Source: Bank of Korea.

Balance of transport slows due to a decline in maritime freight charges

Figure 2.18. Maritime freight vs. transportation balance



Note: 1) Shanghai Containerized Freight Index (SCFI). Figure for Q4 2025 is for October.
Sources: Bank of Korea, Bloomberg.

[49] In October as well, the trade account surplus recorded USD 6.1 billion, up USD 2.9 billion from the previous year. The accumulated surplus from January through October 2025 reached USD 56.4 billion, surpassing 2024's full-year surplus of USD 51.8 billion.

[50] For details, refer to FYI 3: "Assessment of Terms of Trade."

[51] The maritime transportation receipts accounts for 76% of the total transportation receipts (as of 2024), dominating the overall balance of transport. This revenue exhibits a trend similar to that of container freight rates, as national flag carriers focus primarily on container transport. Accordingly, the correlation coefficient between the transportation balance and the Shanghai Containerized Freight Index (SCFI)—a representative indicator of international containerized freight rates—stands at 0.93 (January 2018 to September 2025).

Current Account Outlook[1)]

(YoY, %)

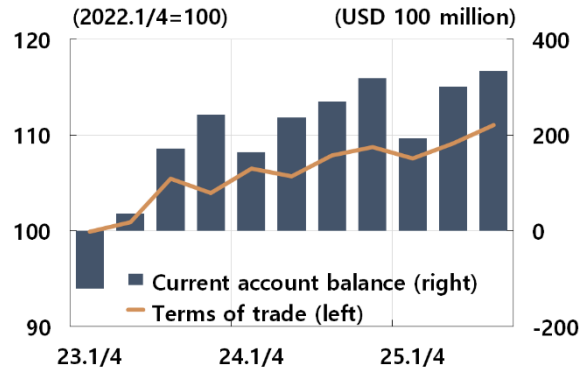
	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
Current account	**990**	494 <494>	656 <606>	**1,150** <1,100>	567 <372>	733 <478>	**1,300** <850>	**1,200**
• Goods	**1,001**	520 <520>	682 <632>	**1,202** **<1,152>**	651 <463>	734 <471>	**1,386** **<935>**	**1,288**
Exports (value)[2)]	**6,836** (8.1)	3,347 (-0.0)	3,688 (5.7)	**7,036** (2.9)	3,515 (5.0)	3,781 (2.5)	**7,296** (3.7)	**7,394** (1.3)
Imports (value)[2)]	**6,318** (-1.7)	3,069 (-1.6)	3,218 (0.6)	**6,287** (-0.5)	3,114 (1.5)	3,317 (3.1)	**6,431** (2.3)	**6,607** (2.7)
• Services	**-237**	-151 <-151>	-162 <-154>	**-314** **<-306>**	-184 <-171>	-177 <-171>	**-361** **<-343>**	**-379**
• Primary and secondary income	**226**	125 <125>	136 <128>	**261** **<253>**	100 <80>	175 <178>	**275** **<258>**	**291**

Notes: 1) Figures in < > are projections as of August 2025.
2) Figures in ( ) indicate YoY growth rates.
Source: Research Department.

FYI 3 Assessment of Terms of Trade

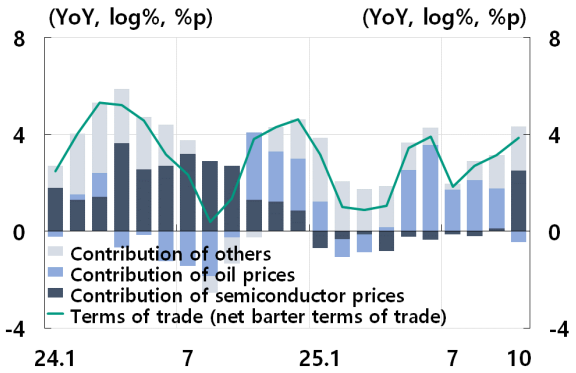
The recent expansion of the current account balance has been influenced by an improvement in the terms of trade,[52] reflecting favorable price conditions, as well as an increase in export volume (Figure 1). This improvement in the terms of trade is attributed primarily to declining import prices, associated with stable global oil prices, and a relative rise[53] in export prices driven by higher semiconductor prices (Figure 2).

Figure 1. Terms of trade and current account balance



Source: Bank of Korea.

Figure 2. Decomposition of contributions to terms of trade[1)]



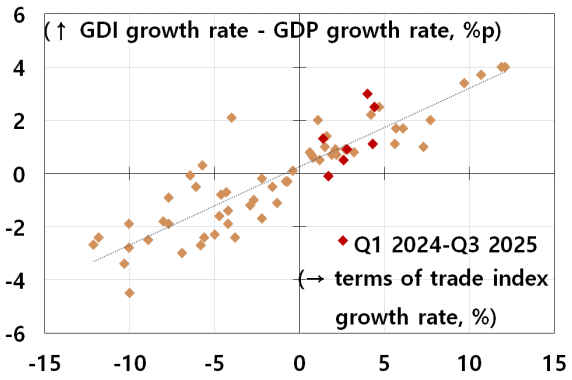
Note: 1) Based on estimated sensitivities of export and import prices to semiconductor prices and global oil prices.
Source: Bank of Korea Research Department estimates.

In the near term, the terms of trade are expected to remain favorable, supporting further expansion of the current account balance and improved income conditions. Global oil prices are projected to remain stable amid the ongoing contraction of OPEC+ production cuts, while elevated semiconductor prices are anticipated to persist due to robust AI-related demand. Accordingly, the terms of trade are expected to improve further, exerting upward pressure on the current account balance. Furthermore, gross domestic income (GDI)—a key indicator of the economy's overall income conditions—is projected to strengthen in line with the improved terms of trade (Figure 3). This reflects the fact that GDI incorporates real trade gains arising from changes in the terms of trade, in addition to GDP. **However, the improved terms of trade driven by rising semiconductor prices primarily benefit large enterprises and the Seoul metropolitan area, given the concentration of semiconductor production. Given the relatively low propensity to consume among high-income groups, the impact on overall consumption remains limited** (Figure 4).

[52] The terms of trade (net barter terms of trade) are calculated as the ratio of the export price index to the import price index. An improvement occurs when export prices rise relative to import prices. Favorable terms of trade enhance the economy's purchasing power, as a given volume of exports can secure a larger volume of imports.

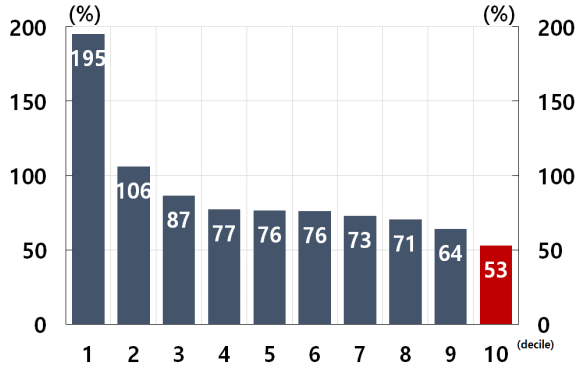
[53] Export prices were also influenced by the decline in global oil prices, as petrochemical products constitute a significant share of exports. However, the rise in semiconductor prices has moderated the overall decline in export prices relative to import prices.

Figure 3. Difference between GDI and GDP vs. terms of trade[1)]



Note: 1) Year-on-year (Q1 2010 to Q3 2025).
Source: Bank of Korea.

Figure 4. Propensity to consume by income decile[1)]



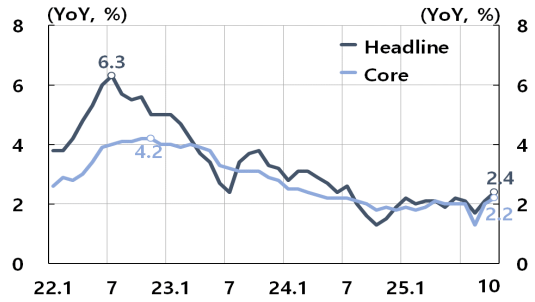
Note: 1) Consumption expenditure / disposable income (based on 2024 data).
Source: Ministry of Data and Statistics.

Prices

2.9. Headline inflation increased by 2.4% year-on-year in October, up from 2.1% in the previous month, mainly due to increases in agricultural products, petroleum products and certain personal service prices. Agricultural, livestock, and marine products prices increased substantially due to heavy autumn rainfall and holiday demand, while petroleum product prices rose owing to low base effects and exchange rate depreciation. Core inflation, excluding food and energy, rose by 2.2%, reflecting higher services prices driven by a sharp increase in travel demand from nationals and foreigners around the consecutive holidays surrounding Chuseok.

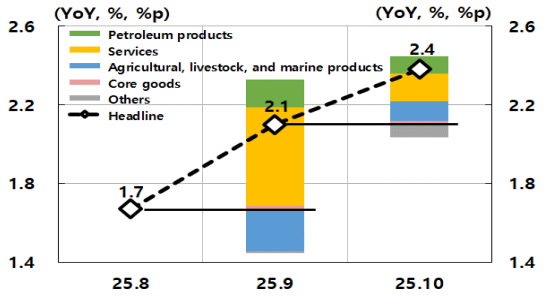
Headline inflation has accelerated recently

Figure 2.19. Headline and core inflation



Source: Ministry of Data and Statistics.

Figure 2.20. Decomposition of differences in monthly increases

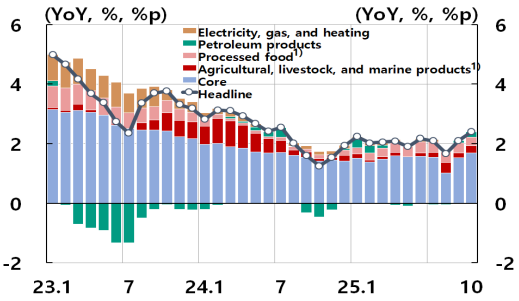


Sources: Ministry of Data and Statistics, Research Department.

2.10. Household inflation expectations (for the next 12 months) have recently remained in the mid-2% range. Professionals' long-term inflation expectations for the next five years have stayed slightly below 2%.[54]

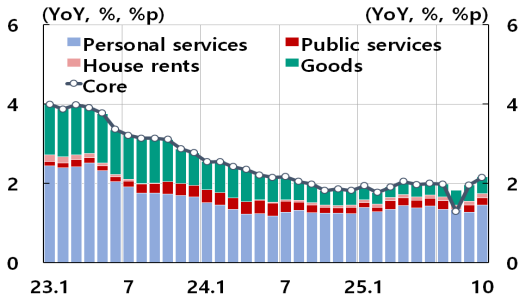
Headline inflation has climbed with the accelerated increase in the prices of some agricultural, livestock, and marine products and petroleum products, while core inflation has risen, driven by personal services

Figure 2.21. Contributions to headline inflation



Note: 1) Excluding core inflation items.
Sources: Ministry of Data and Statistics, Research Department.

Figure 2.22. Contributions to core inflation



Sources: Ministry of Data and Statistics, Research Department.

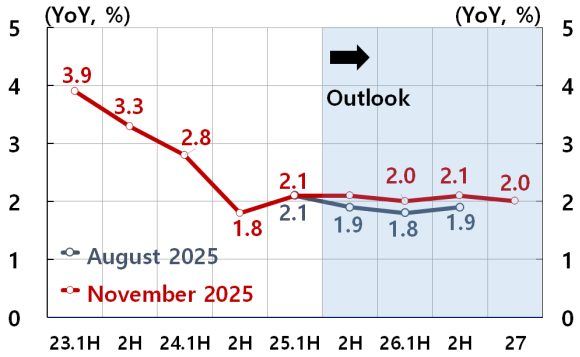
54

(%)	Dec. 2024	Jan. 2025	Feb.	Mar.	Apr.	May	Jun.	Jul.	Aug.	Sep.	Oct.	Nov.
BOK households (next 12 months)	2.9	2.8	2.7	2.7	2.8	2.6	2.4	2.5	2.6	2.5	2.6	2.6
Consensus economics professionals (five years ahead)	1.9	1.8	1.8	1.8	1.8	1.8	1.8	1.9	1.9	1.9	1.9	1.9

2.11. Headline inflation is projected to be 2.1% for both 2025 and 2026, slightly above the August outlook (2.0% and 1.9%), reflecting easing domestic demand weakness and the elevated exchange rates. Core inflation is projected to be 1.9% in 2025 and 2.0% in 2026. Headline inflation for 2025 is forecast at 2.1%, reflecting higher prices for certain personal services amid elevated exchange rates in the fourth quarter. Headline inflation for 2026 is expected to be similar to that of the last year's level, owing to easing domestic demand weakness and elevated exchange rates, despite downside pressures from declining global oil prices. Meanwhile, in 2027, both headline and core inflation are projected to reach 2.0%, the target level.

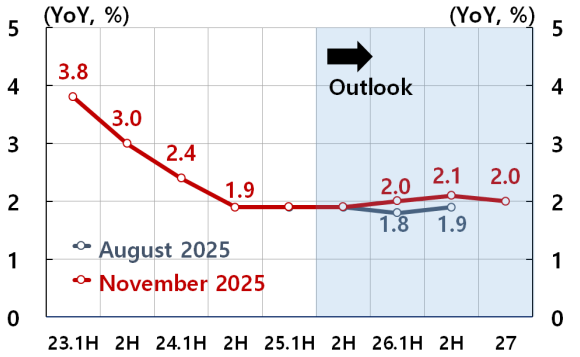
Headline inflation is expected to run slightly above the previous forecast path due to higher exchange rates, among other factors

Figure 2.23. Headline inflation outlook



Sources: Ministry of Data and Statistics, Research Department.

Figure 2.24. Core inflation outlook



Sources: Ministry of Data and Statistics, Research Department.

Inflation Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
Headline inflation	**2.3**	2.1 <2.1>	2.1 <1.9>	**2.1** <2.0>	2.0 <1.8>	2.1 <1.9>	**2.1** <1.9>	**2.0**
• Core inflation[2)]	**2.2**	1.9 <1.9>	1.9 <1.9>	**1.9** <1.9>	2.0 <1.8>	2.1 <1.9>	**2.0** <1.9>	**2.0**

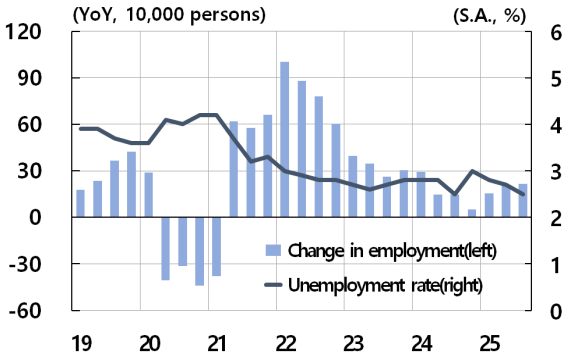
Notes: 1) Figures in < > are projections as of August 2025.
2) Excluding food and energy.
Sources: Ministry of Data and Statistics, Research Department.

Employment

2.12. Employment has continued to increase, while the unemployment rate has remained low. In October, the number of employed persons increased by 193,000, broadly consistent with trend growth.[55] While employment in health and welfare services continued to rise significantly, contact-intensive services sectors also expanded rapidly due to the consumption coupon program. The unemployment rate remained stable at the mid-2% level. This is driven by improved labor supply-demand matching, as the expansion of government public employment programs in response to increased demand for care-related services(healthcare and education), facilitating the inflow of elderly workers aged 65 or older into the sectors.

Favorable employment growth rate and low unemployment rate

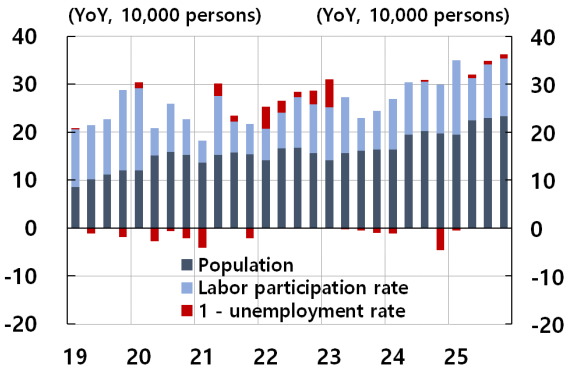
Figure 2.25. Changes in employment and unemployment rates(quarterly)



Note: 1) Figure for Q4 2025 is for October.
Source: Ministry of Data and Statistics.

Increased labor force participation rate of the elderly(aged 65 or older)

Figure 2.26. Decomposition of changes in employment of the elderly aged65 or older(quarterly)[1)]

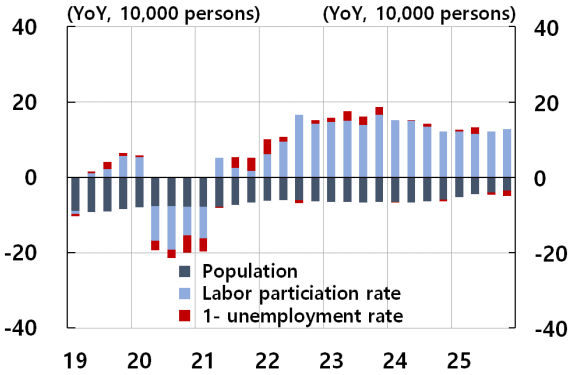


Notes: 1) Contribution calculated after decomposing employment as: number of employed persons = population × labor participation rate × (1 - unemployment rate).
2) Figure for Q4 2025 is for October.
Sources: Ministry of Data and Statistics, Research Department.

[55] Trend job growth refers to the number of jobs needed to maintain the natural rate of unemployment. It is influenced by labor supply factors such as population and participation rates as well as the natural rate of unemployment itself.

Labor force participation rate of women in their 30s and 40s rises

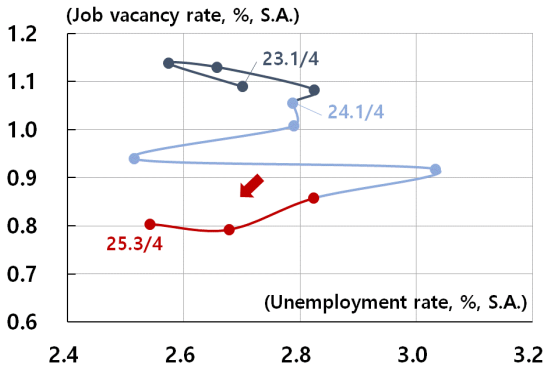
Figure 2.27. Decomposition of changes in employment of women in their 30s and 40s (quarterly)[1)]



Notes: 1) Contribution calculated after decomposing employment as: number of employed persons = population × labor participation rate × (1 - unemployment rate).
2) Figure for Q4 2025 is for October.
Sources: Ministry of Data and Statistics, Research Department.

Labor supply- demand matching is improved

Figure 2.28. Beveridge curve (quarterly)[1)]

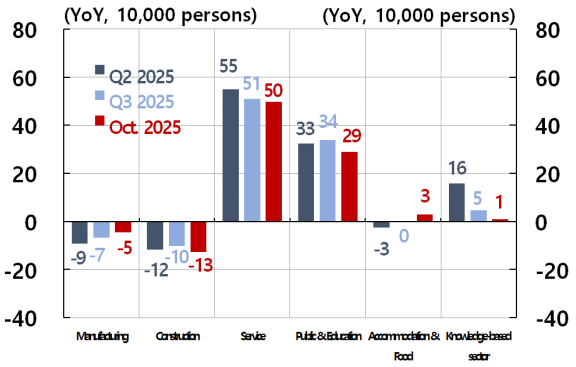


Note: 1) Leftward movement of the Beveridge curve indicates improved matching efficiency.
Sources: Ministry of Data and Statistics, Ministry of Employment and Labor, Research Department.

2.13. Employment in the private sector remained sluggish in major industries such as manufacturing and construction, but the weakness is assessed to be easing, particularly in the services sector. In October, employment in the manufacturing and construction sectors continued to decline due to intense global competition in non-IT industries and persistent weakness in construction. In contrast, contact-intensive services such as wholesale and retail trade and accommodation and food services, shifted to increases from September, supported by recovering consumption, and continued to rise in October as well. **Improvement in employment quality remains insufficient.** This reflects the fact that care and contact-intensive services, which have led employment gains, account for a higher share of low-wage and short-hour jobs. Weak labor demand in major industries is also contributing to declining youth employment. Youths continue to face employment difficulties as companies reduce new hires amid unresolved structural constraints such as job mismatch. As a result, youth employment has continued to fall even after excluding population effects, while the share of youth aged 25-34 classified as “taking a break from the labor market” has continued to rise.

Employment in manufacturing and construction remains sluggish

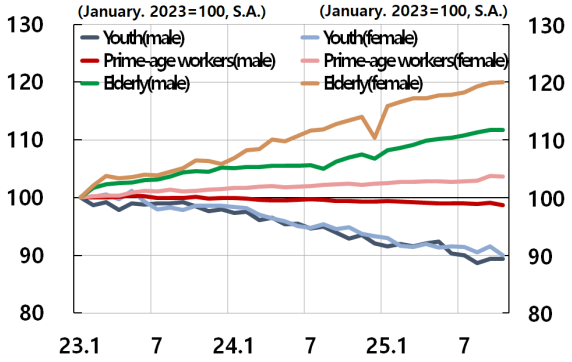
Figure 2.29. Changes in number of employed persons by industry



Source: Ministry of Data and Statistics.

Youth and prime-age male employment is still stagnant

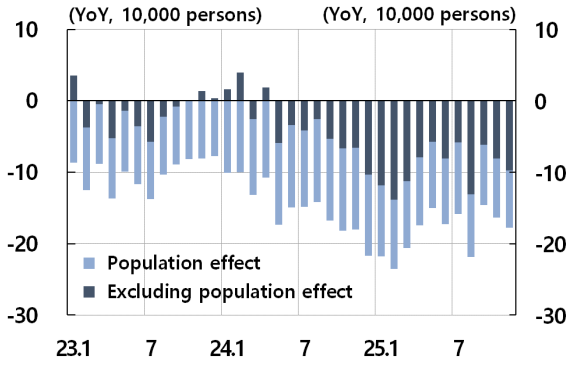
Figure 2.30. Number of employed persons by gender and age (month)[1)]



Note: 1) Youth: 15-29, prime-age workers: 30-59, elderly: 60+.
Sources: Ministry of Data and Statistics, Ministry of Employment and Labor.

Youth employment, excluding population effect, continues to decline

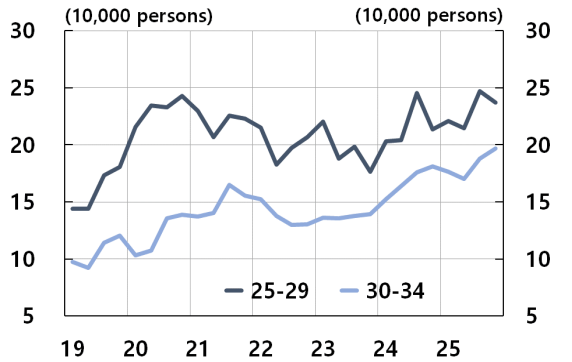
Figure 2.31. Changes in youth employment (monthly)[1)]



Note: 1) Contribution calculated after decomposing employment as: number of employed persons = population × labor participation rate × (1 – unemployment rate).
Sources: Ministry of Data and Statistics, Research Department.

Share of youth aged 25-34 classified as "taking a break from the labor market" continues to rise

Figure 2.32. Population "taking a break from labor market" by age group (quarterly)[1)]



Note: 1) Figure for Q4 2025 is for October.
Source: Ministry of Employment and Labor.

2.14. Total employment growth in 2026 (+150,000 persons) will likely slow due to the shrinking working-age population, while private sector employment is expected to improve. Public sector employment growth is predicted to moderate, as the scale of the government's job programs[56] contracts compared with the last year. Private sector employment is projected to improve, led by wholesale and retail trade, accommodation and food services, and construction. This growth is supported by the recovery of consumption, sustained increases in foreign tourists boosting domestic demand-related services, and easing of the weakness in the construction sector. However, manufacturing employment, excluding some IT sectors, is likely to face challenges due to changes in the trade environment. Downside risks to the employment outlook include workforce reductions reflecting chronic business weakness in some industries.

Employment Outlook[1)]

(10,000 persons, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
Employment change[2)]	**16**	18 <18>	19 <16>	**18** <17>	14 <12>	15 <14>	**15** <13>	**15**
Unemployment rate	**2.8**	3.1 <3.1>	2.5 <2.6>	**2.8** <2.8>	3.1 <3.1>	2.6 <2.6>	**2.8** <2.9>	**2.8**
(S.A.)	**-**	2.8	2.8	**2.8**	2.8	2.8	**2.8**	
Employment rate[3)]	**62.7** **[69.5]**	62.6 [69.6]	63.1 [70.1]	**62.9** **[69.9]**	62.7 [69.9]	63.2 [70.4]	**62.9** **[70.2]**	**63.0** **[70.1]**

Notes: 1) Figures in < > are projections as of August 2025.
2) Year-on-year.
3) Aged 15 or older, numbers in [ ] are for ages 15-64 based on the OECD standard.
Sources: Ministry of Data and Statistics, Research Department.

[56] The target for elderly employment was cut from a year-on-year increase of 68,000 in 2025 to 54,000 in 2026 (based on the August 2025 budget bill).

3. Risk Assessment

Key Risks to the Outlook

3.1. The growth outlook faces considerable upside and downside risks related to the global trade environment and semiconductor cycle, while inflation is subject to risks from movements in the exchange rate and oil prices.

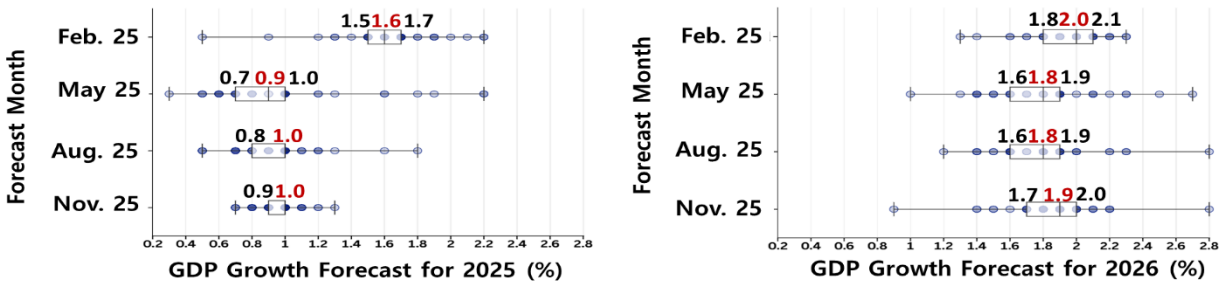
	Upside risks	Downside risks
GDP growth	• Further easing of global trade tensions • Additional improvement in semiconductor cycle • Stronger growth in inbound tourism	• Reignition of trade tensions leading to prolonged and heightened uncertainty in the trade environment • Instability in global financial markets (concerns about overinvestment in AI and the fiscal sustainability of major economies) • Deepening weakness in non-IT sectors
CPI inflation	• Persistently high exchange rate • Sustained strength in the prices of agricultural and marine products	• Excess supply of global crude oil • Stronger government measures to stabilize prices

Distribution of Growth Projections by Market Participants

3.2. Major forecasting institutions have kept their 2025 growth projections unchanged from August and have slightly raised their 2026 projections, while maintaining their inflation forecasts. The median of GDP growth forecasts among market participants remains unchanged from August at 1.0% for 2025, while the median for 2026 has been revised up by 0.1 percentage point to 1.9% from 1.8% in August. For CPI inflation, the median forecast remains unchanged from August, standing at 2.0% for 2025 and 1.9% for 2026.

The median of GDP growth forecasts for 2026 has been raised slightly to 1.9%, while inflation projections remain unchanged

Figure 3.1. Distribution of GDP growth forecasts for 2025[1)] and 2026[2)]



Notes: 1) Based on 40 to 42 institutions.
2) Based on 36 to 41 institutions.
Source: Bloomberg (Data retrieved on Nov. 7).

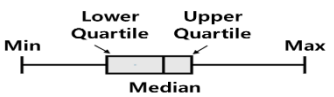
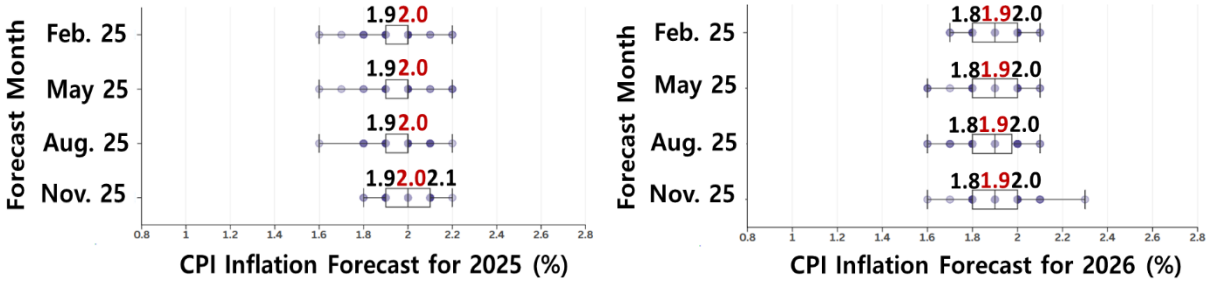
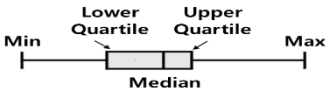


Figure 3.2. Distribution of CPI inflation forecasts for 2025[1)] and 2026[2)]



Notes: 1) Based on 30 to 38 institutions.
2) Based on 28 to 35 institutions.
Source: Bloomberg (Data retrieved on Nov. 7).



Scenario Analysis

3.3. While semiconductor exports driven by the expansion of AI have been supporting economic growth, market sentiment is divided between expectations of continued AI-led momentum and concerns about overinvestment, heightening uncertainty surrounding the semiconductor cycle. Accordingly, the following alternative scenarios are presented.

In the **baseline scenario**, Korea's semiconductor exports are likely to continue their robust growth, though the increase is projected to moderate gradually from the mid-7% range in 2026 to the mid-5% level in 2027 (based on volume index). This reflects assumptions that the United States will impose 15% tariffs* from the second half of 2026 and AI investment growth will slow gradually.

* During additional U.S. consultations held at the end of October 2025, it was agreed that tariffs on Korean-made semiconductors will not exceed those imposed on countries with equal or greater semiconductor trade volumes. Although specific figures were not determined, the assumption of a 15% semiconductor tariff is based on the agreement reached by the United States with the EU and Japan to set a 15% cap on semiconductor tariffs

- **Optimistic scenario (sustained momentum in semiconductor exports):** This scenario assumes that solid semiconductor demand continues amid the spread of AI and that the U.S. postpones the imposition of semiconductor-related tariffs, allowing Korea's semiconductor exports to sustain growth at a pace close to mid-10% range seen in 2025. Under this scenario, Korea's **GDP growth** is estimated to be **0.2 percentage points higher for 2026** and **0.3 percentage points higher for 2027**, while **inflation** is projected to be **0.1 percentage point higher in both years, relative to the baseline outlook**.

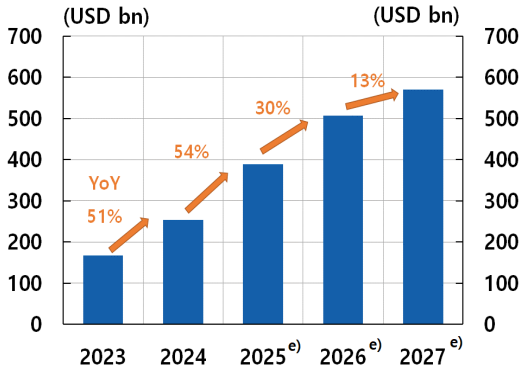
- **Pessimistic scenario (stagnation in semiconductor demand):** This scenario assumes that AI investment proves to be excessive, leading to a slowdown in semiconductor demand from the second half of 2026 and stagnation in the following year. Under this scenario, Korea's **GDP growth** is estimated to be **0.1 percentage point lower for 2026** and **0.3 percentage points lower for 2027**. For **inflation,** the impact is expected to be **limited for 2026**, while the rate is estimated to be **0.1 percentage point lower for 2027**.

Table 3.1. Semiconductor export assumptions by scenario[1)]

	Key assumptions
Baseline scenario	▶ The growth of semiconductor export volumes moderate gradually. (mid-10% in 2025 → around 7% in 2026 → around 5% in 2027)
Optimistic scenario	▶ Export volume growth is assumed to remain close to 2025's mid-10% range.
Pessimistic scenario	▶ From 2H26, export volume growth slows, eventually flattening to 0% in 2027.

Note: 1) The figures are based on the semiconductor export volume index.
Source: Research Department.

Figure 3.3. U.S. big tech[1)] CapEx projection



Note: 1) M7 companies, including Google, Microsoft, etc.
Source: Bloomberg.

Table 3.2. GDP growth and inflation outlook by scenario

GDP Growth rate

(%, %p)	2025e)	2026e)	2027e)
Baseline Projection	**1.0**	**1.8**	**1.9**
Optimistic scenario		**+0.2**	**+0.3**
Pessimistic scenario		**-0.1**	**-0.3**

CPI Inflation

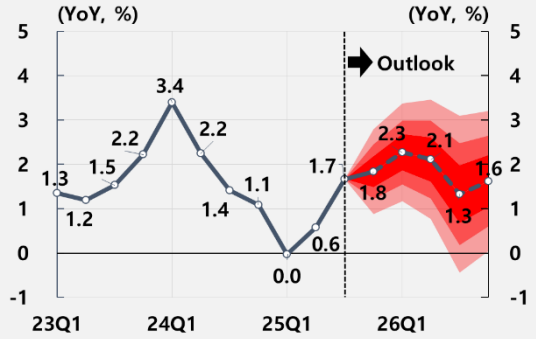
(%, %p)	2025e)	2026e)	2027e)
Baseline Projection	**2.1**	**2.1**	**2.0**
Optimistic scenario		**+0.1**	**+0.1**
Pessimistic scenario		**-**	**-0.1**

Source: Research Department.

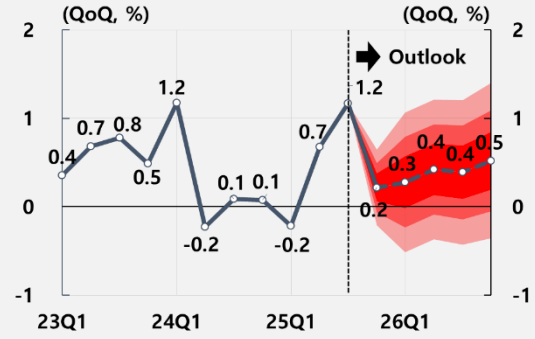
BOX **Quarterly Forecasts for the One-Year-Ahead Horizon**

GDP Growth

Outlook for GDP growth[1] (YoY)



Outlook for GDP Growth[1] (QoQ)



Notes: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.

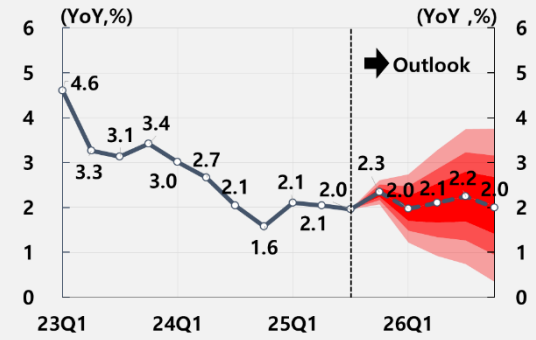
Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025				2026[e]			
	Q1	Q2	Q3	Q4[e]	Q1	Q2	Q3	Q4
GDP growth rate	**0.0**	**0.6**	**1.7**	**1.8**	**2.3**	**2.1**	**1.3**	**1.6**
(QoQ, %)	-0.2	0.7	1.2	0.2	0.3	0.4	0.4	0.5

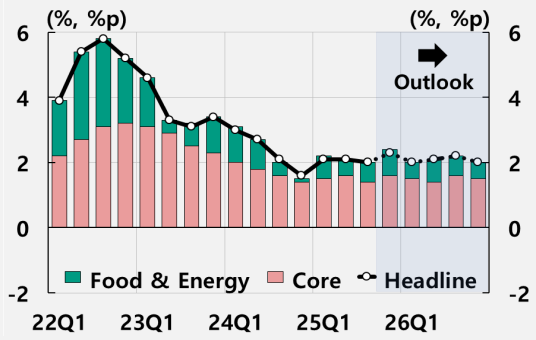
Source: Research Department.

CPI Inflation

Outlook for headline CPI inflation[1]



Contribution to headline CPI inflation



Notes: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.

Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025				2026[e]			
	Q1	Q2	Q3	Q4[e]	Q1	Q2	Q3	Q4
CPI inflation	**2.1**	**2.1**	**2.0**	**2.2**	**2.0**	**2.1**	**2.2**	**2.1**
• Core inflation[1]	1.9	2.0	1.7	2.1	2.0	1.9	2.1	2.0

Note: 1) Excluding food and energy.

Source: Research Department, Ministry of Data and Statistics.

Appendix. Key Economic Indicators

[World economy]

(QoQ, MOM, %)		2023	2024		2025					
			Year	Q4	Q1	Q2	Q3	Aug	Sep	Oct
United States	GDP growth[1)]	2.9	2.8	1.9	-0.6	3.8	..	-	-	-
	Industrial production[2)]	0.2	-0.3	-0.3	1.0	0.4	..	0.1	..	..
	Retail sales	3.4	3.0	1.8	0.4	0.7	1.5	0.6	0.2	..
	Consumer prices [3)]	4.1	2.9	2.7	2.7	2.4	2.9	2.9	3.0	..
	Change in non-farm payroll (1,000s)	3,348	2,091	509	521	280	107	-4	119	..
Euro area	GDP growth rate	0.4	0.9	0.4	0.6	0.1	0.2	-	-	-
	Industrial production[2)]	-1.7	-3.0	-0.2	2.0	-0.3	-0.1	-1.1	0.2	..
	Retail sales	-1.9	1.3	0.5	0.2	0.8	0.2	-0.1	-0.1	..
	Exports on a customs[4)]	-0.9	0.7	0.1	7.5	-5.8	-0.2	-0.8	4.7	..
	Consumer prices[3)]	5.4	2.4	2.2	2.3	2.0	2.1	2.0	2.2	2.1
China	GDP growth[3)]	5.4	5.0	5.4	5.4	5.2	4.8	-	-	-
	Industrial production[2)3)]	4.6	5.8	5.6	6.5	6.2	5.8	5.2	6.5	4.9
	Retail sales[3)]	7.2	3.5	3.8	4.6	5.4	3.4	3.4	3.0	2.9
	Fixed investment[3)5)]	3.0	3.2	3.2	4.2	2.8	-0.5	0.5	-0.5	-1.7
	Exports on a customs[3)]	-4.7	5.8	9.9	5.6	6.1	6.5	4.3	8.3	-1.1
	Consumer prices [3)]	0.2	0.2	0.2	-0.1	0.0	-0.2	-0.4	-0.3	0.2

Notes: 1) Annualized quarter-on-quarter rate. 2) Mining and manufacturing. 3) Year-on-year.
4) Excluding trade within the EU. 5) Cumulative.
Sources: U.S. Federal Reserve, BEA, BLS, Eurostat, National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China, etc.

[Global energy prices]

(Average during the period)	2023	2024		2025						
		Yeat	4Q	Q1	Q2	Q3	Aug	Sep	Oct	Nov[3)]
Dubai oil[1)]	82	80	74	76	66	68	68	68	64	64
Brent oil[1)]	82	80	74	75	67	68	67	68	64	64
European natural gas[2)]	41	35	43	47	36	33	33	32	32	31

Notes: 1) USD/barrel. 2) EUR/MWh. 3) Figures in [ ] are averages for November 1 to 25, 2025.
Source: Bloomberg.

[Domestic economy]

(QoQ, MOM, %)		2023	2024		2025					
			Year	Q4	Q1	Q2	Q3	Aug	Sep	Oct
Growth	GDP growth	1.6	2.0	0.1	-0.2	0.7	1.2	-	-	-
	Retail sales	-1.3	-2.1	-0.4	0.4	-0.9	1.5	-2.4	-0.1	..
	(YoY)			(-2.0)	(-0.3)	(0.0)	(1.5)	(-0.4)	(2.2)	..
	Facilities investment index	-4.8	2.9	-1.8	-1.7	0.0	5.8	-1.3	12.7	..
	(YoY)			(5.3)	(5.7)	(5.3)	(2.0)	(-0.6)	(12.8)	..
	Construction completed	7.8	-4.7	-5.1	-6.4	-3.2	2.4.	-5.3	11.4	..
	(YoY)			(-9.7)	(-21.2)	(-17.4)	(-12.0)	(-17.4)	(-4.3)	..
	Exports on a customs clearance basis (USD 100 million)	6,322	6,836	1,751	1,595	1,752	1,849	583	659	595
	(YoY)	(-7.5)	(8.1)	(4.2)	(-2.3)	(2.1)	(6.5)	(1.1)	(12.6)	(3.5)
	Imports on a customs clearance basis (USD 100 million)	6,426	6,318	1,599	1,526	1,543	1,624	518	564	535
	(YoY)	(-12.1)	(-1.7)	(0.9)	(-1.4)	(-1.8)	(1.5)	(-4.1)	(-8.2)	(-1.5)

Sources: Bank of Korea, Ministry of Data and Statistics, Korea Customs Service.

(YoY, %)		2023	2024		2025					
			Year	Q4	Q1	Q2	Q3	Aug	Sep	Oct
Prices	Headline inflation	3.6	2.3	1.6	2.1	2.1	2.0	1.7	2.1	2.4
	Core inflation[1)]	3.4	2.2	1.8	1.9	2.0	1.7	1.3	2.0	2.2
Current account balance	Current account (USD 100 million)	328	990	318	193	301	334	91	135	..
	Goods	377	1,001	284	192	328	339	94	142	..
	Services	-268	-237	-60	-75	-76	-76	-21	-33	..
	Primary and secondary income	220	226	94	76	49	71	19	25	..
Employment	Changes in number of employed persons (10,000 persons)	32.7	15.9	5.2	15.5	20.7	21.6	16.6	31.2	19.3
	Unemployment rate (S.A., %)	2.7	2.8	3.0	2.8	2.7	2.5	2.6	2.5	2.6

Note: 1) Excluding energy and food.
Sources: Bank of Korea, Ministry of Data and Statistics.

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